FOR THE PERSON PLAYING THE INTERVIEWER

You don't need to know anything about consulting.

This binder gives you everything a real interviewer has: what to say, what information to hand over and when, what a good answer sounds like, and how to score it. Your partner does the thinking. You hold the facts and keep the clock.

What a case interview is, in 30 seconds

Consulting firms test candidates with a short business puzzle, called a **case**. You read out a client's problem, for example "a hot dog stand is losing money, why?". The candidate has to ask good questions, organize the problem, do some math out loud, and end with a clear recommendation. It's a test of **how they think**, not of business trivia.

Your job, in one line each

- **Read** the blue *Say* lines out loud, word for word if you like.
- **Answer** questions using the *If they ask* tables. Anything not on the list: "Not important for this case, make an assumption."
- **Hold back** the yellow *Give* boxes until the moment described. Never volunteer data early.
- **Tick** the *Listen for* boxes as you hear them. That is your evidence for scoring.
- **Never show** the green *Answer key*. It's for you to check the candidate's numbers.
- **Score** at the end with the rubric, then give feedback: 2 strengths, 2 things to fix.

The colors in every case

SAY

Words you read out loud.

GIVE ONLY WHEN…

Data you hand over (read it, or show this box) only when the trigger happens.

ANSWER KEY, DON'T SHOW

The right numbers and what a strong answer contains.

IF THEY'RE STUCK

Hints in order. Give one, wait 30 seconds, then the next.

HOW TO STEER

What the casebook says to do at this point, e.g. "after their framework, tell them the problem is only internal." Follow it so the case goes where it should.

FULL LIST · ASK IF THIN · IF THEY SAY…

A complete checklist to tick (so you see exactly what they missed), follow-up questions to dig deeper when an answer is short, and replies to common mistakes. Use probes before hints: probes make them think, hints give the answer away.

ADDED PARTLY ADDED mark steps, data and answers that go beyond the AUBCC casebook. A line under the step says exactly what was added.

Before you start (2 minutes)

- [ ] Pick a case you haven't read with them. Start with an **Easy** one.
- [ ] Read the case once to yourself, start to finish (about 5 minutes).
- [ ] Give the candidate paper, a pen and a calculator-free zone (no phone calculator; real interviews don't allow one).
- [ ] Sit across a table. Start a timer. Aim for 20–25 minutes per case.
- [ ] Keep a straight, friendly face. Real interviewers don't react much.

THE SIX STAGES

Every case follows the same shape

Each case script below walks you through these stages. Knowing the shape helps you notice when the candidate skips one.

1 **You read the prompt**

Read slowly. A good candidate writes it down and then repeats it back in their own words. If they don't, tick it as missed.

2 **They ask clarifying questions**

Usually 2–4 questions: about the goal, the client, the market. Answer from the *If they ask* table. More than ~6 questions is too many.

3 **They build a framework**

They'll ask for a minute or two of silence. Say "Sure, take your time." Then they explain how they'll break the problem into parts (for example "revenue" and "costs"). Compare with the Answer key.

4 **Analysis and math**

They ask for data, or estimate it themselves. You give the yellow boxes. They calculate out loud. You check against the Answer key.

5 **Insight: "so what?"**

After each number, a strong candidate says what it means for the client. If they don't, ask: "What does that mean for the client?"

6 **Recommendation**

You say the closing line. They should give the answer **first**, then 2–3 reasons, then risks and next steps. Under a minute.

Timing guide for a 25-minute case

Stage	Target	If it runs long
Prompt + questions	2–3 min	"Let's get going. What's your approach?"
Framework	2–4 min	"Which part would you look at first?"
Analysis and math	10–15 min	Give the next hint from the script.
Recommendation	1–2 min	"In one sentence: yes or no?"
Your feedback	5 min	Rubric + 2 strengths, 2 fixes.

Golden rules

1. Make them ask

Data comes out only when they ask for it, or when the script says "give if their estimate is way off". Asking for the right data is part of the test.

2. Let them estimate first

Many cases are **candidate-led**: they should make up reasonable numbers first. Only give the real number if theirs is far off (each script says what "far off" means), or if they ask directly.

3. Don't confirm too fast

When they get a number right, say "Okay, keep going." When it's wrong, say "Can you double-check that?" Never tell them the right number until they've tried twice.

4. Silence is fine

When they ask for time, give it: real interviewers wait. Only speak up after about 60 seconds of total silence.

5. Push back once

Once per case, ask "Why?" or "Are you sure?" even when they're right. It tests whether they stay calm and can defend their logic.

6. Hints in order

If they're stuck, use the red hint boxes one at a time. Every hint you give costs a point on "Drive" in the rubric. Note how many you gave.

Phrase bank

They ask for time to think	"Sure, take a minute."
They ask something not in your script	"Good question, but it's not important here. Make a reasonable assumption."
They ask "Is that right?"	"What do you think?" or "Walk me through how you got there."
They're silent for a long time	"Can you walk me through what you're thinking?"
They ramble or go off-track	"Let's focus. What do you need to answer the client's question?"
They finish a calculation and stop	"So what does that mean for the client?"
They made a math mistake	"Can you double-check that last step?"
They ask you to just give the number	"What would you estimate?" (Give it if the script says so.)

Time is running out	"The CEO just walked in. What's your recommendation?"

USE THIS FOR EVERY CASE

Scoring rubric

Score each area from 1 to 5. A 3 means "would probably pass at a first-round interview". Use the ticks from the case script as evidence. Be honest: a generous score doesn't help them.

Area	1–2: Weak	3: Pass	4–5: Strong
Structure	Jumps into numbers with no plan. Framework is a generic list or misses big pieces.	Clear framework with 2–4 parts that fit the case. Some overlap or gaps.	Framework is tailored to this client, has no overlaps or gaps, and is explained in under 2 minutes. Says which part to look at first and why.
Math	Wrong answers, messy, silent working, or needs a calculator.	Correct with maybe one slip they fix themselves. Talks through steps.	Fast, correct, clean units (per day, per year, $M). Rounds sensibly and announces each step out loud.
Business sense	Reports numbers without meaning. Misses the key insight even after hints.	Explains what numbers mean when asked. Finds the insight with one hint.	Says "so what" on their own, sanity-checks results ("that seems high because..."), spots the key insight unprompted.
Communication	Hard to follow, rambles, recommendation is vague or missing.	Clear enough. Recommendation exists but is buried or long.	Answer-first, organized ("three reasons: first..."), confident, under a minute to close.
Drive	Waits for you to lead. Needed 3+ hints.	Mostly leads. Needed 1–2 hints.	Leads the whole case, asks for the right data at the right time, suggests next steps. No hints needed.

Reading the total (out of 25)

- **21–25**: Offer-level. Move to harder cases.
- **16–20**: Solid. Fix the lowest area.
- **11–15**: Getting there. Redo this case type in a few days.
- **5–10**: Practice the basics: frameworks and mental math.

How to give feedback (5 minutes)

1. Ask them first: "How do you think that went?"
2. Share **2 things they did well**, with specific moments ("you caught that the 75–80 age group is 5 years").
3. Share **2 things to fix**, again specific ("you didn't say what the −$100 meant for the owner").
4. Read them the total score and their lowest area.

PLAIN-ENGLISH GLOSSARY

Words the candidate will use

You don't need to use these. It just helps to know what they mean when you hear them.

Framework / structure	Their plan for breaking the problem into parts.
MECE	"Mutually exclusive, collectively exhaustive": parts that don't overlap and together cover everything. Interviewers love it.
Revenue	Money coming in. Usually price × quantity sold.
Costs: fixed vs. variable	Fixed costs don't change with sales (rent). Variable costs grow with each unit sold (food in each hot dog).
Profit	Revenue minus costs.
Profit margin	Profit as a % of revenue. $10 profit on $100 revenue = 10% margin.
COGS	"Cost of goods sold": what it costs to make the product itself.
Payback period	Years needed to earn back an investment. Investment ÷ yearly profit.
Breakeven	The point where revenue exactly covers costs (profit = 0).
Market sizing	Estimating how big a market is, e.g. "how much is spent on diapers per year".
Market share	The % of a market one company holds.
Market entry	A case about whether a company should start selling in a new market.
Barriers to entry	Things that make it hard to enter a market: licenses, laws, big competitors.
Cross-selling	Selling a second product to an existing customer.
Sanity check	Asking "does this number make sense?" before moving on.

Price elasticity	How much customers buy less when the price goes up.
"So what?"	What a number means for the client's decision.

PICK ONE

The cases

Start with an Easy case. Read the script once on your own before you begin. Each takes 15–25 minutes plus 5 minutes of feedback.

Diapers in KSA

Market sizing · Easy · ~20 min

Hot Dog Stand

Profitability · Easy · ~25 min

Concert in Riyadh

Profitability · Easy · ~25 min

Billionaire Banker

Market entry · Easy · ~25 min

TV Family Business

Market entry · Medium · ~25 min

Plane Ticket Price

Pricing · Medium · ~25 min

Energy Consumption

Discussion · Hard · ~25 min

KSA Retail Bank

Profitability · Hard · ~30 min

Lebanese Cryptocurrency

Market entry · Medium · ~25 min

Hair Loss Pill

Profitability · Medium · ~25 min

CASE 1 OF 10

Diapers in KSA

Market sizing | Easy | ~20 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A global consumer goods company is thinking about building a diaper factory in Saudi Arabia. First the candidate estimates how big the diaper market is, then judges whether the factory is worth it.

THE ANSWER IN ONE LINE, DON'T SHOW

The market is about **$2.3 billion a year**. At 10% share and 15% margin the $100M factory pays back in **about 3 years** (longer once retailer margins are counted). Recommendation: promising, worth validating.

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The client (a consumer goods company weighing a factory in KSA) is added. The casebook only asks for the market size.

SAY

"Our client is a large international consumer goods company that makes baby and adult hygiene products. They don't sell in Saudi Arabia today, and they're considering building a factory there to enter the market."

"Before anything else, the CEO wants to know how big the opportunity is. Estimate the market size of diapers in KSA."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Do we include adult diapers?	"Yes, elderly people are included."
Cloth or disposable?	"Only consider disposable diapers."
Value or number of diapers?	"Market size should be done by sales, not volume. In dollars, per year."
What's the client's end goal? ADDED	"To decide whether the market is big enough to justify a local factory. We'll get to that."
Who are the competitors? ADDED	"Several international and local brands. You don't need them for the sizing."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back the situation and the goal (size the market, then decide on the factory)
- [ ] Asks if adult diapers count
- [ ] Confirms sales in dollars per year, not volume

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> So, **to make sure I understand**: our client is an international hygiene products company with no presence in Saudi Arabia, considering a local factory. **The first question is** how big the KSA diaper market is. A few quick questions: should I include adult diapers as well as baby diapers? Disposable only? And should I size it **by sales in dollars per year**? **Could I take a moment to structure my approach?**

2 Approach

2–3 min

SAY

"How would you approach the sizing?"

HOW TO STEER

- Casebook: this is an interviewee-led case. Ask the candidate to estimate the numbers. If they're in the right ballpark, they should use their own numbers. Give the casebook numbers only if their estimates are far off.
- The casebook's expected approach: dissect the population of KSA by age group and proceed from there.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Lays out the steps before using any numbers
- [ ] Splits the population by age
- [ ] Includes babies (0–3) AND elderly
- [ ] Uses % of each group using diapers, then diapers per day
- [ ] Converts to a year and multiplies by price

ASK IF THEIR ANSWER IS THIN

- "Who uses diapers besides babies?"
- "How will you get from number of people to dollars?"
- "Will everyone in an age group use diapers?"

ANSWER KEY, DON'T SHOW

Population → people per year of age (population ÷ life expectancy) → users in each relevant age group (babies 0–3, elderly) → diapers per day → per year → × price per diaper.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Who uses diapers?"
2. "Could you split the population into groups?"
3. "Try splitting by age."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say which method: top-down, by age
2. List the steps in order, with no numbers yet
3. Say who uses diapers (babies 0–3, elderly)
4. End by checking in

Phrases to listen for: "I'll size this top-down, by age." · "No numbers yet, just the steps." · "Does that approach sound reasonable?"

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll size this top-down, by age.** Start with the population and divide it by life expectancy to get the number of people at each age. Diapers are used by two groups: babies up to about three, and some elderly people. For each group, I'll estimate the share that uses diapers and how many they use per day. That gives diapers per day, then per year, and finally I'll multiply by the price per diaper. **Does that approach sound reasonable?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market size (a formula, not buckets)

- Population → people per year of age
- Users per age group × diapers per day
- × 365 × price per diaper

Market attractiveness

- Size and growth (birth rate, aging)
- Retail price levels

Competitive landscape

- Leading brands and their shares
- Brand loyalty

Financial considerations

- Share × margin → yearly profit
- Payback on the $100M factory

The book says to size markets with a formula, not buckets. Use buckets only for the factory decision that follows.

3 Population

2 min

SAY

"That sounds reasonable. Go ahead. What numbers would you use for the population?"

GIVE ONLY WHEN: IF THEY ASK, OR IF THEIR POPULATION IS UNDER 25M OR OVER 45M, OR LIFE EXPECTANCY IS UNDER 70 OR OVER 85.

Exhibit 1. Population of KSA: **35 million**. Life expectancy: **80 years**. For simplicity, assume the same number of people at every age.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Divides population by life expectancy
- [ ] Rounds to a workable number (~450k)

IF THEY SAY… YOU SAY

Uses a population far from 35M	"KSA's population is about 35 million. Let's use that."

ANSWER KEY, DON'T SHOW

`35M ÷ 80 ≈ 437,500 → round to ~450k per year of age`

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. State each assumption and why
2. Do the division out loud
3. Round to an easy number and say so

Phrases to listen for: "I'll assume... because..." · "To keep the math simple, I'll round to..."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll assume** a population of 35 million and a life expectancy of 80. **To keep the math simple**, I'll assume people are spread evenly across ages: 35 million divided by 80 is about 437,000. **I'll round that to 450,000 people per year of age.**

4 Diapers per day

4–5 min

SAY

"Now get me to the number of diapers used each day."

GIVE ONLY WHEN: WHEN THEY ASK HOW MANY PEOPLE USE DIAPERS OR HOW MANY THEY USE, OR IF THEIR USAGE ESTIMATES ARE FAR OFF.

Exhibit 2. Diaper usage by age group

Age group	0–1	1–2	2–3	75–80
Diaper use (%)	100%	90%	80%	30%
Average quantity per day	10	8	6	4

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Notices 75–80 is FIVE years of people (2.25M), not one
- [ ] Works group by group, out loud
- [ ] Gets ~12.6M diapers per day

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] 0–1: 450k × 100% × 10 = 4.5M
- [ ] 1–2: 450k × 90% × 8 ≈ 3.2M
- [ ] 2–3: 450k × 80% × 6 ≈ 2.2M
- [ ] 75–80: 2.25M × 30% × 4 = 2.7M

IF THEY SAY... YOU SAY

Uses 450k people for the 75–80 group	"How many years of age are in the 75–80 group?"
Forgets the elderly	"You said elderly were included. Where are they?"

ANSWER KEY, DON'T SHOW

Group	People	× use	× per day	= per day
0–1	450k	100%	10	4.5M
1–2	450k	90%	8	3.2M
2–3	450k	80%	6	2.2M
75–80	2.25M	30%	4	2.7M

Total ≈ **12.6M diapers per day**.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many years of age are in the 75–80 group?"
2. "Take one age group at a time."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Announce: one group at a time
2. For each group: people × % using × per day
3. Flag the trap: 75–80 is five years of people
4. Add up and state the total with units

Phrases to listen for: "Let me go group by group." · "That's five years of age, so..." · "Adding it up, that's about... a day."

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me go group by group.** Ages 0 to 1: 450,000 babies, all using diapers, 10 a day, so 4.5 million. Ages 1 to 2: 90%, about 405,000 children at 8 a day, roughly 3.2 million. Ages 2 to 3: 80%, about 360,000 at 6 a day, about 2.2 million. For 75 to 80, **that's five years of age, so 2.25 million people**; 30% use diapers, about 675,000 at 4 a day, so 2.7 million. **That's about 12.6 million diapers a day.**

5 Market value

2 min

SAY

"One pack of 12 diapers costs $6. What's the market worth per year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Multiplies by 365
- [ ] Price per diaper = $0.50
- [ ] States the answer clearly: about $2.3 billion a year

ANSWER KEY, DON'T SHOW

```
12.6M × 365 ≈ 4.6B diapers a year
4.6B × $6/12 = 4.6B × $0.50 ≈ $2.3B a year
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Convert to a year
2. Convert price per pack to price per diaper
3. Multiply and state the answer with units

Phrases to listen for: "That's about X a year." · "So the market is about $2.3 billion a year."

EXAMPLE ANSWER, SAID OUT LOUD

> 12.6 million a day times 365 is about **4.6 billion diapers a year**. A pack of 12 at $6 is 50 cents a diaper, so **the market is about $2.3 billion a year**.

6 Sanity check ADDED

2 min

SAY

"Does that number feel right to you? What could make it too high or too low?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Babies are ~80% of volume, so baby assumptions matter most
- [ ] Even age split understates babies: KSA has a young population, so the market is likely bigger
- [ ] Elderly use may start before 75
- [ ] Prices vary between premium and discount brands

ASK IF THEIR ANSWER IS THIN

- "Is KSA's population really spread evenly by age?"
- "Which assumption, if wrong, changes the answer most?"

ANSWER KEY, DON'T SHOW

A strong candidate challenges their own number: "KSA's population skews young, so I'm probably underestimating babies. I'd call $2.3B a conservative estimate."

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which group drives most of the volume?"
2. "Is KSA's population really spread evenly by age?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Give a verdict first (reasonable / too high / too low)
2. Name the assumption that matters most
3. Say which way it could be wrong, and why
4. Restate the number with a qualifier

Phrases to listen for: "It feels reasonable, and if anything conservative." · "The assumption that matters most is..."

EXAMPLE ANSWER, SAID OUT LOUD

> **It feels reasonable, and if anything conservative.** Babies drive about 80% of the volume, so those assumptions matter most. I assumed an even age distribution, but **Saudi Arabia has a young population**, so there are probably more babies than I assumed. **So I'd call $2.3 billion a conservative estimate.**

7 The factory decision ADDED

3–4 min

Beyond the AUBCC casebook: 10% share, 15% margin and the $100M factory are new.

SAY

"Let's get back to the client's question. They believe they can win 10% of the market within three years, at a 15% operating margin. The factory would cost $100 million. How long would it take to pay back?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 10% share = $230M revenue
- [ ] 15% margin = ~$34.5M profit a year
- [ ] Payback ≈ 2.9 years
- [ ] Spots that $2.3B is the store price: the client sells to retailers at a lower price, so real revenue is lower and payback longer
- [ ] Notes that share builds up over time, so the first years earn less

ASK IF THEIR ANSWER IS THIN

- "Is the $2.3B what the client would actually receive?"
- "Will they hit 10% in year one?"

ANSWER KEY, DON'T SHOW

```
10% × $2.3B = $230M revenue
× 15% = $34.5M profit a year
$100M ÷ $34.5M ≈ 2.9 years
```

The best candidates add: "Retailers keep part of the $6, maybe 25–30%, so our revenue is closer to $160–170M and payback is nearer 4 years. That's still attractive."

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What revenue does 10% of the market give the client?"
2. "Payback is the investment divided by yearly profit."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Share × market = revenue
2. × margin = yearly profit
3. Investment ÷ profit = payback
4. Add the caveat (retailer margin, ramp-up)
5. Conclude against the goal

Phrases to listen for: "That's a payback of about..." · "One caveat:..." · "That's still attractive."

EXAMPLE ANSWER, SAID OUT LOUD

> At 10% share, the client would have **$230 million in revenue**. At a 15% margin, that's about **$34.5 million of profit a year**, so a **payback of about 2.9 years**. **One caveat:** the $2.3 billion is at store prices. The client sells to retailers, who keep perhaps 25 to 30%, so **payback is nearer four years**. That's still attractive.

8 What else to check ADDED

2–3 min

SAY

"What else would you want to know before recommending the factory?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Competitors: who leads, how loyal customers are to brands
- [ ] Distribution: pharmacies, hypermarkets, online
- [ ] Is 10% share realistic for a new entrant?
- [ ] Government incentives for local manufacturing, Saudization rules
- [ ] Demand trend: birth rate, aging population
- [ ] Option to import first, build later

ASK IF THEIR ANSWER IS THIN

- "Can you group those ideas?"
- "What could stop them reaching 10%?"

ANSWER KEY, DON'T SHOW

Look for organized answers, for example market / competition / operations / risks, not a random list.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say how many areas
2. Give 2–3 checks per area
3. End with a lower-risk alternative

Phrases to listen for: "I'd group what I'd check into three areas." · "A lower-risk option could be..."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd group what I'd check into three areas.** **Competition**: who leads and how loyal customers are, which tells us if 10% is realistic. **Go-to-market**: access to pharmacies, hypermarkets and online. **The operating environment**: local manufacturing incentives, Saudization, and demand trends like the birth rate. **A lower-risk option** could be to import first and build once share is proven.

9 Recommendation ADDED

1–2 min

SAY

"The CEO is walking in. You have one minute. Should they build the factory?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first (yes, with conditions)
- [ ] Reasons: ~$2.3B market, ~3–4 year payback
- [ ] Risks: the 10% share assumption, retailer margins
- [ ] Next steps: competitor analysis, distribution partners, local incentives

ANSWER KEY, DON'T SHOW

"I recommend moving ahead with the factory, subject to two checks. The KSA diaper market is about $2.3B a year, probably more given the young population. At 10% share, the $100M factory pays back in 3–4 years. Next, I'd validate that 10% share is achievable against current brands, and lock in distribution and any local manufacturing incentives."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first, in one sentence
2. 2–3 reasons with numbers
3. The key risk
4. Next steps

Phrases to listen for: "I recommend..., subject to..." · "The key risk is..." · "As next steps, I'd..."

EXAMPLE ANSWER, SAID OUT LOUD

I recommend moving ahead with the factory, subject to two checks. The market is large, about $2.3 billion a year and likely more given the young population, and at 10% share the $100 million factory pays back in three to four years. **The key risk** is whether a new entrant can reach 10%. **As next steps**, I'd validate that against current brands and secure distribution partners and local incentives.

▼ Show the full sample interview

INTERVIEWER

"Our client is a large international consumer goods company that makes baby and adult hygiene products. They don't sell in Saudi Arabia today, and they're considering building a factory there to enter the market."

"Before anything else, the CEO wants to know how big the opportunity is. Estimate the market size of diapers in KSA."

CANDIDATE

So, **to make sure I understand**: our client is an international hygiene products company with no presence in Saudi Arabia, considering a local factory. **The first question is** how big the KSA diaper market is. A few quick questions: should I include adult diapers as well as baby diapers? Disposable only? And should I size it **by sales in dollars per year**? **Could I take a moment to structure my approach?**

INTERVIEWER · APPROACH

"How would you approach the sizing?"

CANDIDATE

I'll size this top-down, by age. Start with the population and divide it by life expectancy to get the number of people at each age. Diapers are used by two groups: babies up to about three, and some elderly people. For each group, I'll estimate the share that uses diapers and how many they use per day. That gives diapers per day, then per year, and finally I'll multiply by the price per diaper. **Does that approach sound reasonable?**

INTERVIEWER · POPULATION

"That sounds reasonable. Go ahead. What numbers would you use for the population?"

Exhibit 1. Population of KSA: **35 million**. Life expectancy: **80 years**. For simplicity, assume the same number of people at every age.

CANDIDATE

I'll assume a population of 35 million and a life expectancy of 80. **To keep the math simple**, I'll assume people are spread evenly across ages: 35 million divided by 80 is about 437,000. **I'll round that to 450,000 people per year of age.**

INTERVIEWER · DIAPERS PER DAY

"Now get me to the number of diapers used each day."

Exhibit 2. Diaper usage by age group

Age group	0–1	1–2	2–3	75–80
Diaper use (%)	100%	90%	80%	30%
Average quantity per day	10	8	6	4

CANDIDATE

Let me go group by group. Ages 0 to 1: 450,000 babies, all using diapers, 10 a day, so 4.5 million. Ages 1 to 2: 90%, about 405,000 children at 8 a day, roughly 3.2 million. Ages 2 to 3: 80%, about 360,000 at 6 a day, about 2.2 million. For 75 to 80, **that's five years of age, so 2.25 million people**; 30% use diapers, about 675,000 at 4 a day, so 2.7 million. **That's about 12.6 million diapers a day.**

INTERVIEWER · MARKET VALUE

"One pack of 12 diapers costs $6. What's the market worth per year?"

CANDIDATE

12.6 million a day times 365 is about **4.6 billion diapers a year**. A pack of 12 at $6 is 50 cents a diaper, so **the market is about $2.3 billion a year**.

INTERVIEWER · SANITY CHECK

"Does that number feel right to you? What could make it too high or too low?"

CANDIDATE

It feels reasonable, and if anything conservative. Babies drive about 80% of the volume, so those assumptions matter most. I assumed an even age distribution, but **Saudi Arabia has a young population**, so there are probably more babies than I assumed. **So I'd call $2.3 billion a conservative estimate.**

INTERVIEWER · THE FACTORY DECISION

"Let's get back to the client's question. They believe they can win 10% of the market within three years, at a 15% operating margin. The factory would cost $100 million. How long would it take to pay back?"

CANDIDATE

At 10% share, the client would have **$230 million in revenue**. At a 15% margin, that's about **$34.5 million of profit a year**, so a **payback of about 2.9 years**. **One caveat:** the $2.3 billion is at store prices. The client sells to retailers, who keep perhaps 25 to 30%, so **payback is nearer four years**. That's still attractive.

INTERVIEWER · WHAT ELSE TO CHECK

"What else would you want to know before recommending the factory?"

CANDIDATE

I'd group what I'd check into three areas. **Competition**: who leads and how loyal customers are, which tells us if 10% is realistic. **Go-to-market**: access to pharmacies, hypermarkets and online. **The operating environment**: local manufacturing incentives, Saudization, and demand trends like the birth rate. **A lower-risk option** could be to import first and build once share is proven.

INTERVIEWER · RECOMMENDATION

"The CEO is walking in. You have one minute. Should they build the factory?"

CANDIDATE

I recommend moving ahead with the factory, subject to two checks. The market is large, about $2.3 billion a year and likely more given the young population, and at 10% share the $100 million factory pays back in three to four years. **The key risk** is whether a new entrant can reach 10%. **As next steps**, I'd validate that against current brands and secure distribution partners and local incentives.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: … / Fix: …

CASE 2 OF 10

Hot Dog Stand

Profitability | Easy | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A hot dog stand that used to make money now loses money. The candidate maps the stand's revenue and costs, finds it loses $100 a month, sees that sales fell because of a competitor's student deal and that food waste rose, and suggests fixes.

THE ANSWER IN ONE LINE, DON'T SHOW

The stand **loses $100 a month** ($2,700 revenue – $2,800 costs). The clearest fix is the **$200 of expired food** (inventory planning). Behind it: **5 fewer meals a day** than last year, lost to Frank's $5 student combo. Compete on value, not a price cut.

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: 'This month it lost money' and the $700/month goal are added.

SAY

"Our client owns a single hot dog stand in Hamra, Beirut. It has been experiencing a decline in profitability over the past few months, and this month it actually lost money."

"The owner wants to know what the problem is and what to do about it."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What do they sell, at what price?	"A standard meal: a hot dog and a drink for $6. The price hasn't changed in two years."
Who are the competitors? Are they affected?	"Our direct competitor is Frank's Hot Dog, and they're not facing any problem. Indirect competitors are Roadster Diner and other restaurants."
Has anything changed recently? ADDED	"Nothing the owner can point to. That's why they called us."
What's the goal? ADDED	"Get back to at least last year's profit, about $700 a month."
Any fixed costs or investments?	"Disregard fixed costs: the truck has been running for a while."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: one stand in Hamra, profit decline, now a loss
- [ ] Asks whether competitors are affected (Frank's is fine)
- [ ] Asks about price and product

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Just to play it back**: our client owns one hot dog stand in Hamra, profitability has declined over the past few months, and this month it lost money. **The goal is to find the problem and fix it.** A few questions: what do they sell, and at what price? Is the competition seeing the same decline? And is there a profit target?

2 Framework PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The casebook gives no framework; this one follows its revenue-and-costs solution.

SAY

"How would you structure this?"

HOW TO STEER

- Casebook: this is a typical profitability case. Start by computing the profit: find the revenues and the costs.
- Because Frank's is fine, lead them to look inside our stand first.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit = revenue − costs
- [ ] Revenue = price × number of meals (plus other revenue streams)
- [ ] Costs split into fixed and variable
- [ ] Uses the competitor as a benchmark: Frank's is fine, so the problem is likely ours
- [ ] Plans to compare with the past to see what changed

ASK IF THEIR ANSWER IS THIN

- "Where does the stand's money come from?"
- "Where does it go?"
- "How would you know what changed?"

ANSWER KEY, DON'T SHOW

Revenue: price, meals sold, other streams. **Costs**: fixed (truck, paid off) and variable (food, utilities, rent, labor, expired food). **External**: competitors (Frank's is fine, so it's internal).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What is profit made of?"
2. "How would you find out what changed?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the case type: profitability
2. Revenue bucket with sub-bullets
3. Costs bucket: fixed vs. variable
4. External check: is Frank's affected?
5. Say what you'd look at first, then check in

Phrases to listen for: "This is a profitability problem, so I'll start from profit equals revenue minus costs." · "My hypothesis is that the problem is specific to our stand." · "Does that sound good?"

EXAMPLE ANSWER, SAID OUT LOUD

> **This is a profitability problem, so I'll start from profit equals revenue minus costs.** On **revenue**: the price, the number of meals sold, and any other revenue streams. On **costs**: fixed costs, like the truck, and variable costs: food, utilities, rent, labor and any waste. **Externally**, Frank's is doing fine, so **my hypothesis is that the problem is specific to our**

stand. I'd compute this month's profit, then compare it with the past to see what changed. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations	Customer segmentation & needs	Competitive landscape
• Revenue: price × meals, other streams • Costs: food (3× pricing), rent, labor, utilities, waste • Profit now vs. last year	• Who buys (students, office workers) • What they value: price, speed, choice	• Frank's: what changed there? • Indirect: Roadster Diner, restaurants

Same core as the casebook (revenue – costs), but the customer and competitor buckets point you to Frank's student deal much earlier.

3 Revenue streams

2 min

SAY

"Let's start with revenue. What revenue streams could a hot dog stand have?"

HOW TO STEER

- Casebook: the candidate can list other revenue streams, but we only consider the standard meal for the solution. Once they've listed them, say: "Good ideas. Today they only sell the standard meal, so let's focus on that."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] The standard meal (hot dog + drink)
- [ ] At least 2 other streams

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Standard meal: hot dog + drink
- [ ] Ads on the truck
- [ ] Delivery service
- [ ] Hot dog toppings / add-ons
- [ ] New products on the menu

ASK IF THEIR ANSWER IS THIN

- "Could the truck itself make money?"
- "What could they sell besides the meal?"

ANSWER KEY, DON'T SHOW

Today: only the standard meal. Possible others (casebook): ads on the truck, delivery, toppings, new products.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Today's stream first
2. 2–4 other possible streams
3. Say which you'll focus on

Phrases to listen for: "Today it's the standard meal." · "For now I'll focus on..., and keep the others for growth."

EXAMPLE ANSWER, SAID OUT LOUD

> **Today it's the standard meal**, a hot dog and a drink. **Other streams could include** advertising on the truck, a delivery service, paid toppings, and new menu items. **For now I'll focus on the standard meal**, and keep the others for when we talk about growth.

4 Monthly revenue

2 min

SAY

"How many meals do you think they sell per day? What's the monthly revenue?"

HOW TO STEER

- Candidate-led: let them estimate. Give the real figure if they ask, or if their estimate is below 5 or above 60 meals a day.

GIVE ONLY WHEN: IF THEY ASK, OR IF THEIR ESTIMATE IS FAR OFF.

The stand sells **15 meals per day**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] $6 × 15 = $90 a day
- [ ] × 30 days = $2,700 a month

ANSWER KEY, DON'T SHOW

`$6 × 15 meals = $90/day → × 30 = $2,700/month`

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. State your estimate and why
2. Per day, then per month
3. State the result with units

Phrases to listen for: "I'd estimate about... because..." · "That's $90 a day, so $2,700 a month."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd estimate about 15 meals a day for a small stand. At $6 a meal, that's $90 a day, and over 30 days, $2,700 a month.

5 Cost structure PARTLY ADDED

3 min

Beyond the AUBCC casebook: The cost list is the casebook's; the fixed-vs-variable question is added.

SAY

"Now costs. What costs does the stand have, and which are fixed versus variable?"

GIVE ONLY WHEN: AFTER THEY BRAINSTORM. READ THE FULL LIST.

Exhibit 1. Costs

- Fixed costs: disregard (the truck has been running for a while)
- Variable costs (related to daily operations):
  - Cost of goods sold (COGS): 3× pricing strategy
  - Utilities (gas and electricity): $400 per month
  - Rent: $800 per month
  - Labor (1 chef): $500 per month
  - Expired food: $200 per month

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Brainstorms food, staff, rent, utilities, waste before seeing the list
- [ ] Asks what "3× pricing" means, or works out food = $2 a meal
- [ ] Discusses fixed vs. variable sensibly

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Food / ingredients (COGS)
- [ ] Utilities (gas, electricity)
- [ ] Rent
- [ ] Labor (chef)
- [ ] Expired / wasted food
- [ ] The truck itself (fixed, already paid)

IF THEY SAY... YOU SAY

"Rent and salary are fixed, not variable"	"Fair point. The casebook groups them as daily operating costs. What matters is the total."
Confused by "3× pricing"	"It means the selling price is three times what the food costs."

ANSWER KEY, DON'T SHOW

Food cost = $6 ÷ 3 = **$2 per meal**. Strictly, rent and the chef's salary are fixed each month; the casebook calls them variable because they're operating costs. Either way they count.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Brainstorm costs before seeing the list
2. Decode '3× pricing' out loud
3. Sort into fixed vs. variable

Phrases to listen for: "Before looking at the list, I'd expect..." · "3× pricing means food costs a third of the price, so $2 a meal."

EXAMPLE ANSWER, SAID OUT LOUD

> **Before looking at the list**, I'd expect food, the chef's salary, rent, utilities, and some wasted food. The truck itself is a fixed cost, already paid. A 3× pricing strategy means the price is three times the food cost, so **food costs $2 a meal**. **Strictly, rent and salary are fixed each month**, but they're all operating costs either way.

6 This month's profit

2–3 min

SAY

"So what's the stand's monthly profit?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Food: $2 × 15 × 30 = $900
- [ ] Total costs: 900 + 400 + 800 + 500 + 200 = $2,800
- [ ] Profit = 2,700 − 2,800 = −$100 (a loss)
- [ ] Points out the $200 of expired food is larger than the loss

ANSWER KEY, DON'T SHOW

```
Costs: 900 + 400 + 800 + 500 + 200 = $2,800/month
Profit: 2,700 − 2,800 = −$100/month
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Add up all the monthly costs."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. List each cost line
2. Total costs
3. Revenue – costs = profit, with the sign
4. Point out the biggest avoidable line

Phrases to listen for: "So the stand loses $100 a month." · "Interestingly, the $200 of expired food is bigger than the loss itself."

EXAMPLE ANSWER, SAID OUT LOUD

> Food is $2 times 15 meals times 30 days, $900. Adding utilities $400, rent $800, labor $500 and expired food $200, **costs are $2,800 a month**. Against $2,700 of revenue, **the stand loses $100 a month**. **Interestingly, the $200 of expired food is bigger than the loss itself.**

7 Last year vs. this year ADDED

3–4 min

Beyond the AUBCC casebook: The whole 'last year' column is new.

SAY

"The owner also shared last year's numbers for the same month. What was profit then, and what changed?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 2. Monthly figures (30 days)

	Last year	This year
Meals sold per day	20	15
Price per meal	$6	$6
Food cost per meal	$2	$2
Rent	$800	$800
Chef salary	$500	$500
Utilities	$350	$400
Expired food	$50	$200

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Last year: +$700 a month
- [ ] Profit fell $800: revenue −$900, food bought +$300 saved, waste −$150, utilities −$50
- [ ] Main problem is volume: 5 fewer meals a day (−25%)
- [ ] Links waste to volume: still buying for 20 meals, selling 15

ASK IF THEIR ANSWER IS THIN

- "Which line moved the most?"
- "Why would expired food go up when sales went down?"

ANSWER KEY, DON'T SHOW

```
Last year: 3,600 − 1,200 − (800+500+350+50) = +$700
This year: −$100 → a drop of $800
```

Volume is the main problem; waste is the second, and they're linked.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Work out last year line by line."
2. "Which line moved the most?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Compute last year's profit
2. State the change
3. Break the change down line by line
4. Name the main driver and link waste to volume

Phrases to listen for: "So profit fell $800." · "The main problem is volume." · "The two are connected:..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Last year:** 20 meals gave $3,600 of revenue; food was $1,200 and other costs $1,700, so **a profit of $700**. **So profit fell $800.** Lost revenue explains $900 of it, partly offset by $300 less food bought; waste added $150 and utilities $50. **The main problem is volume: we sell a quarter fewer meals.** And waste rose because **the owner still buys food for 20 meals while selling 15**.

8 Why customers left ADDED

3 min

Beyond the AUBCC casebook: The customer survey is new.

SAY

"Volume is down a quarter. Why might that be? After your ideas, I'll share what customers told us."

GIVE ONLY WHEN: AFTER THEY BRAINSTORM REASONS.

Exhibit 3. "Why did you switch to Frank's?" (100 former customers)

Reason	Share
Frank's new $5 student combo (hot dog, drink and fries)	45%
Our wait time is too long at lunch	25%
Frank's has more menu choices	20%
Other	10%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Organizes reasons: internal (quality, speed, hours) vs. external (competitor, foot traffic, economy)
- [ ] Reads the survey: value is the main issue, wait time is fixable
- [ ] 70% of reasons are value and service, not quality or location

ANSWER KEY, DON'T SHOW

The competitor changed, not the market: Frank's launched a better-value student offer, and our service is slow.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Structure causes: internal vs. external
2. Read the data: biggest reason first
3. Group the reasons
4. So what

Phrases to listen for: "I'd split the causes into internal and external." · "So 70% of the reasons are about value and service." · "So what: the competitor changed, not the market."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split the possible causes into internal and external.** Internal: quality, service speed, opening hours. External: a competitor's move, less foot traffic, the economy. **The survey answers it**: 45% left for Frank's $5 student combo with fries, and 25% for our wait times. **So 70% of the reasons are about value and service.** **So what:** the market didn't change, the competitor did.

9 Increasing profitability

3–4 min

SAY

"Given profits are in the red, how can we increase profitability? Give me a structured answer."

HOW TO STEER

- Casebook: the candidate should come up with ways to increase profitability in a structured, cohesive way: increase revenues and decrease costs.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Splits into increase revenues / decrease costs
- [ ] Raise price, but mentions price elasticity
- [ ] More volume: marketing, new menu items
- [ ] New revenue streams such as advertising
- [ ] Cheaper location, but notes location is key
- [ ] Cut COGS without hurting quality
- [ ] Spots the $200 expired food: forecast demand and order less

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Increase prices (consider price elasticity)
- [ ] Increase volume: marketing, new menu items
- [ ] Add new revenue streams, e.g. advertising
- [ ] Change location to cut rent (risky: location is key)
- [ ] Reduce COGS without reducing quality
- [ ] Inventory: forecast monthly demand to cut the $200 of expired food

ASK IF THEIR ANSWER IS THIN

- "Look at the cost list again. Is anything avoidable?"
- "What could they do about Frank's student deal?"

ANSWER KEY, DON'T SHOW

Increase revenues: price (watch elasticity), volume (marketing, new items), new streams (ads).

Decrease costs: location (risky), COGS (keep quality), and above all **inventory**: $200 of expired food a month; forecast demand from monthly trends.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Look at the cost list again. Is any of it avoidable?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two buckets: increase revenues / decrease costs
2. Revenue: price (elasticity), volume, new streams
3. Costs: location, COGS, inventory
4. Highlight the single best idea

Phrases to listen for: "I'd split this into increasing revenues and decreasing costs." · "Most importantly, inventory."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split this into increasing revenues and decreasing costs.** **Revenues**: raise the price, carefully given price elasticity; grow volume with marketing or new menu items; and add new streams like advertising on the truck. **Costs**: a cheaper location, though location is key for us; cheaper ingredients without hurting quality; and **most importantly, inventory**. We throw away $200 of food a month, so **forecasting demand from monthly trends** would fix our loss on its own.

10 Should they cut the price? ADDED

3 min

SAY

"The owner wants to match Frank's at $5. Food cost stays $2. Suppose they fix waste back to $50 a month. How many meals a day would they need to break even at $5?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Margin per meal falls from $4 to $3
- [ ] Costs to cover: 800 + 500 + 400 + 50 = $1,750
- [ ] Breakeven ≈ 583 a month ≈ 19–20 a day: they'd need almost all lost customers back
- [ ] At $6 with waste fixed, breakeven is ~14.6 a day, below today's 15

ANSWER KEY, DON'T SHOW

```
$1,750 ÷ $3 ≈ 583/month ≈ 19.4/day (at $5)
$1,750 ÷ $4 ≈ 438/month ≈ 14.6/day (at $6)
```

Matching on value (a combo) is safer than cutting the price.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How much does the stand keep from each meal at $5?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. New margin per meal

2. Costs to cover
3. Breakeven volume per month, then per day
4. Compare with today and conclude

Phrases to listen for: "Breakeven is about... meals a day." · "That means winning back almost every lost customer just to break even."

EXAMPLE ANSWER, SAID OUT LOUD

> At $5, we keep $3 per meal instead of $4. Monthly costs to cover are $1,750, so **breakeven is about 583 meals a month, roughly 19 to 20 a day**. **That means winning back almost every lost customer just to break even.** At $6 with waste fixed, we break even at about 15 a day. **So I'd match Frank's on value, with a combo, rather than on price.**

11 Recommendation ADDED

1–2 min

SAY

"The owner walks up. What do you tell them?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: loses ~$100 a month; lost 5 meals a day to Frank's student deal, and over-orders food
- [ ] Action 1: forecast demand and order less (saves ~$150 a month)
- [ ] Action 2: a value combo or student offer at $6, not a price cut
- [ ] Action 3: faster lunch service
- [ ] Next step: track daily sales and waste for a month

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. One-sentence diagnosis with numbers
2. 2–3 actions, ranked
3. Why not the obvious option (a price cut)
4. Next step

Phrases to listen for: "The stand loses about $100 a month because..." · "I recommend three actions."

EXAMPLE ANSWER, SAID OUT LOUD

> **The stand loses about $100 a month because it lost five meals a day to Frank's new student combo, and kept over-ordering food.** I recommend three actions. One, **forecast demand and order less**, recovering about $150 a month immediately. Two, **launch a value combo at $6 rather than cutting the price**. Three, **speed up lunch service.** **As a next step**, track daily sales and waste for a month.

▼ Show the full sample interview

INTERVIEWER

"Our client owns a single hot dog stand in Hamra, Beirut. It has been experiencing a decline in profitability over the past few months, and this month it actually lost money."

"The owner wants to know what the problem is and what to do about it."

> CANDIDATE
>
> **Just to play it back**: our client owns one hot dog stand in Hamra, profitability has declined over the past few months, and this month it lost money. **The goal is to find the problem and fix it.** A few questions: what do they sell, and at what price? Is the competition seeing the same decline? And is there a profit target?

INTERVIEWER · FRAMEWORK

"How would you structure this?"

> CANDIDATE
>
> **This is a profitability problem, so I'll start from profit equals revenue minus costs.** On **revenue**: the price, the number of meals sold, and any other revenue streams. On **costs**: fixed costs, like the truck, and variable costs: food, utilities, rent, labor and any waste. **Externally**, Frank's is doing fine, so **my hypothesis is that the problem is specific to our stand**. I'd compute this month's profit, then compare it with the past to see what changed. **Does that sound good?**

INTERVIEWER · REVENUE STREAMS

"Let's start with revenue. What revenue streams could a hot dog stand have?"

> CANDIDATE
>
> **Today it's the standard meal**, a hot dog and a drink. **Other streams could include** advertising on the truck, a delivery service, paid toppings, and new menu items. **For now I'll focus on the standard meal**, and keep the others for when we talk about growth.

INTERVIEWER · MONTHLY REVENUE

"How many meals do you think they sell per day? What's the monthly revenue?"

The stand sells **15 meals per day**.

> CANDIDATE
>
> **I'd estimate** about 15 meals a day for a small stand. At $6 a meal, that's $90 a day, and over 30 days, **$2,700 a month**.

INTERVIEWER · COST STRUCTURE

"Now costs. What costs does the stand have, and which are fixed versus variable?"

Exhibit 1. Costs

- Fixed costs: disregard (the truck has been running for a while)
- Variable costs (related to daily operations):
  - Cost of goods sold (COGS): 3× pricing strategy
  - Utilities (gas and electricity): $400 per month
  - Rent: $800 per month
  - Labor (1 chef): $500 per month
  - Expired food: $200 per month

CANDIDATE

Before looking at the list, I'd expect food, the chef's salary, rent, utilities, and some wasted food. The truck itself is a fixed cost, already paid. A 3× pricing strategy means the price is three times the food cost, so **food costs $2 a meal**. **Strictly, rent and salary are fixed each month**, but they're all operating costs either way.

INTERVIEWER · THIS MONTH'S PROFIT

"So what's the stand's monthly profit?"

CANDIDATE

Food is $2 times 15 meals times 30 days, $900. Adding utilities $400, rent $800, labor $500 and expired food $200, **costs are $2,800 a month**. Against $2,700 of revenue, **the stand loses $100 a month**. **Interestingly, the $200 of expired food is bigger than the loss itself.**

INTERVIEWER · LAST YEAR VS. THIS YEAR

"The owner also shared last year's numbers for the same month. What was profit then, and what changed?"

Exhibit 2. Monthly figures (30 days)

	Last year	This year
Meals sold per day	20	15
Price per meal	$6	$6
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Rent	$800	$800
Chef salary	$500	$500
Utilities	$350	$400
Expired food	$50	$200

CANDIDATE

Last year: 20 meals gave $3,600 of revenue; food was $1,200 and other costs $1,700, so **a profit of $700**. **So profit fell $800.** Lost revenue explains $900 of it, partly offset by $300 less food bought; waste added $150 and utilities $50. **The main problem is volume: we sell a quarter fewer meals.** And waste rose because **the owner still buys food for 20 meals while selling 15**.

INTERVIEWER · WHY CUSTOMERS LEFT

"Volume is down a quarter. Why might that be? After your ideas, I'll share what customers told us."

Exhibit 3. "Why did you switch to Frank's?" (100 former customers)

Reason	Share
Frank's new $5 student combo (hot dog, drink and fries)	45%
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Frank's has more menu choices	20%
Other	10%

CANDIDATE

I'd split the possible causes into internal and external. Internal: quality, service speed, opening hours. External: a competitor's move, less foot traffic, the economy. **The survey answers it**: 45% left for Frank's $5 student combo with fries, and 25% for our wait times. **So 70% of the reasons are about value and service.** **So what:** the market didn't change, the competitor did.

INTERVIEWER · INCREASING PROFITABILITY

"Given profits are in the red, how can we increase profitability? Give me a structured answer."

CANDIDATE

I'd split this into increasing revenues and decreasing costs. **Revenues**: raise the price, carefully given price elasticity; grow volume with marketing or new menu items; and add new streams like advertising on the truck. **Costs**: a cheaper location, though location is key for us; cheaper ingredients without hurting quality; and **most importantly, inventory**. We throw away $200 of food a month, so **forecasting demand from monthly trends** would fix our loss on its own.

INTERVIEWER · SHOULD THEY CUT THE PRICE?

"The owner wants to match Frank's at $5. Food cost stays $2. Suppose they fix waste back to $50 a month. How many meals a day would they need to break even at $5?"

CANDIDATE

At $5, we keep $3 per meal instead of $4. Monthly costs to cover are $1,750, so **breakeven is about 583 meals a month, roughly 19 to 20 a day**. **That means winning back almost every lost customer just to break even.** At $6 with waste fixed, we break even at about 15 a day. **So I'd match Frank's on value, with a combo, rather than on price.**

INTERVIEWER · RECOMMENDATION

"The owner walks up. What do you tell them?"

CANDIDATE

The stand loses about $100 a month because it lost five meals a day to Frank's new student combo, and kept over-ordering food. I recommend three actions. One, **forecast demand and order less**, recovering about $150 a month immediately. Two, **launch a value combo at $6 rather than cutting the price**. Three, **speed up lunch service.** **As a next step**, track daily sales and waste for a month.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 3 OF 10

Concert in Riyadh

Profitability | Easy | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

An events company is offered a one-night DJ concert in Riyadh. It must make at least $10,000 to be worth their time. Full house it makes $15,800, but based on their past events it would make about $9,100, so it only works with some extra income.

THE ANSWER IN ONE LINE, DON'T SHOW

Full house: **$15,800** profit ($38,000 – $22,200). At realistic sales (VIP 70%, regular 90%): **$9,140**, just under the **$10,000** bar. Go ahead only if they add ~$1–2k of extra income (F&B, merch, a sponsor) and secure the license.

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The two-week deadline is added.

SAY

"Our client is an entertainment company that wants to host a concert in Riyadh with a famous DJ, one night only."

"They have come to us to see if it's a good idea or not, and need to decide within two weeks."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's their goal? ADDED	"They only take on events that make at least $10,000 profit."
How big is the venue?	"1,000 people: 400 VIP and 600 regular."
Where does the money come from?	"Tickets and sponsors. I have numbers when you need them."
Have they done this before? ADDED	"Yes, several events. We have data on those."
Any permits needed? ADDED	"Yes, an event license. Assume it's obtainable."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks for the profit target and finds the $10k bar
- [ ] Asks about capacity
- [ ] Asks about past events

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To recap**: our client is an entertainment company that wants to host a one-night concert in Riyadh with a famous DJ, and needs to decide **whether it's a good idea** within two weeks. A few questions: **how do they define success**, is there a profit target? What's the venue capacity? And do we have data from their past events?

2 Framework PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The casebook goes straight to the calculation; the framework question is added.

SAY

"How would you structure this?"

HOW TO STEER

- Casebook: this is a typical profitability case. First compute the profit generated by the concert: revenues and costs. Then discuss the important aspects of the event.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profitability: revenue (tickets by tier, sponsors, extras) – costs (fixed and per ticket)
- [ ] Demand: how many tickets will really sell
- [ ] Feasibility: license, local regulations, culture
- [ ] Compares the result with the $10k bar

ASK IF THEIR ANSWER IS THIN

- "Beyond the money, what could stop this event from working?"

ANSWER KEY, DON'T SHOW

Profitability (revenues: tickets, sponsors, extras; costs: fixed, variable) / **Demand** (ticket sales) / **Feasibility** (license, regulations, culture).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What would make this concert a success for the client?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profitability bucket
2. Demand bucket
3. Feasibility / risks bucket
4. Tie back to the $10k goal and check in

Phrases to listen for: "I'd look at three areas." · "I'd then compare expected profit with their $10,000 threshold."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at three areas.** First, **profitability**: revenues from tickets, sponsors and extras, minus fixed costs like the DJ and venue and variable costs like commissions. Second, **demand**: how many tickets will realistically sell. Third, **feasibility**: the license, local regulations and cultural fit. **I'd then compare expected profit with their $10,000 threshold. Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations

- Revenue: tickets by tier, sponsors, extras
- Costs: fixed (DJ, venue, insurance, ops) vs. per ticket
- Profit vs. the $10k bar

Customer segmentation & needs

- Who comes: VIP vs. regular
- Demand: will it sell out?
- Cultural preferences in Riyadh

Risks & mitigations

- License and local regulations
- Ticket sales shortfall
- DJ cancellation

The casebook only has a profit calculation then an 'important aspects' list. These three buckets cover both from the start.

3 Revenue streams PARTLY ADDED 2 min

Beyond the AUBCC casebook: The extras are the casebook's 'additional revenue streams'; asking for them up front is added.

SAY

"What revenue streams could a concert like this have?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Ticket sales, by tier
- [ ] Sponsorships
- [ ] Extras: food and drinks, merchandise, parking

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Ticket sales (VIP and regular)
- [ ] Sponsors
- [ ] Accessories (glow sticks, t-shirts)
- [ ] Memorabilia of the DJ and other performers
- [ ] Restaurants and food carts
- [ ] Non-alcoholic drinks
- [ ] Valet parking

ANSWER KEY, DON'T SHOW

Today the client counts on tickets and sponsors. Extras (food, drinks, merch, parking) come up again later.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Core streams first
2. Extras as upside
3. Say what you'll start with

Phrases to listen for: "The core streams are...; on top of that..."

EXAMPLE ANSWER, SAID OUT LOUD

> **The core streams are tickets, by tier, and sponsorships.** On top of that, events can earn from **food carts and non-alcoholic drinks, merchandise like glow sticks and t-shirts, DJ memorabilia, and valet parking**. I'd start with tickets and sponsors, and keep the extras as upside.

4 Full-house revenue

3 min

SAY

"Let's start with the numbers. What revenue would the concert bring in if it sells out?"

GIVE ONLY WHEN: WHEN THEY ASK ABOUT TICKETS, PRICES OR SPONSORS.

Exhibit 1. Tickets and sponsors

	VIP	Regular
Tickets	400	600
Price	$50	$20

Sponsor	Amount
EJ Entertainment	$3,000
Sky Events	$2,000
DJDS Events	$1,000

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] VIP $20,000 + regular $12,000
- [ ] Sponsors $6,000
- [ ] Total $38,000

ANSWER KEY, DON'T SHOW

```
400 × $50 = $20,000
600 × $20 = $12,000
Sponsors = $6,000
Total = $38,000
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Tier by tier
2. Sponsors
3. Total

Phrases to listen for: "Total revenue at a full house is $38,000."

EXAMPLE ANSWER, SAID OUT LOUD

> VIP is 400 tickets at $50, so $20,000. Regular is 600 at $20, so $12,000. Sponsors add $6,000. **Total revenue at a full house is $38,000.**

5 Costs and profit

3 min

SAY

"And the costs? Which are fixed and which variable, and what's the profit if it sells out?"

GIVE ONLY WHEN: WHEN THEY ASK ABOUT COSTS.

Exhibit 2. Costs

- $3 commission PR affiliates make on each ticket sold
- DJ: $6,000
- Venue rent: $5,000
- Maintenance and insurance: $4,000
- Operational expenses: $4,200

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Fixed: DJ, venue, maintenance and insurance, operations = $19,200
- [ ] Variable: $3 × 1,000 tickets = $3,000
- [ ] Total costs $22,200 → profit $15,800
- [ ] Compares with the $10k bar: above it at full house

IF THEY SAY… YOU SAY

Treats the commission as fixed	"Does the commission depend on how many tickets sell?"

ANSWER KEY, DON'T SHOW

```
Fixed: 6,000 + 5,000 + 4,000 + 4,200 = $19,200
Variable: $3 × 1,000 = $3,000
Profit = 38,000 − 22,200 = $15,800
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which costs depend on tickets sold?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Split fixed vs. variable
2. Total each
3. Profit, then compare with the goal

Phrases to listen for: "I'll split costs into fixed and variable." · "So profit is $15,800, above the $10,000 bar if it sells out."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll split costs into fixed and variable.** Fixed: DJ $6,000, venue $5,000, maintenance and insurance $4,000, operations $4,200, so $19,200. Variable: $3 commission on 1,000 tickets, $3,000. Total costs $22,200, **so profit is $15,800**, **above the $10,000 bar if it sells out.**

6 Realistic sales ADDED

3–4 min

Beyond the AUBCC casebook: Past sell-through (70% / 90%) and the $10k minimum are new.

SAY

"That assumes every ticket sells. Here's how the client's last three events sold. What profit should they expect?"

GIVE ONLY WHEN: RIGHT AWAY. (IF THEY ASKED ABOUT PAST SALES EARLIER, PRAISE THAT AND GIVE IT THEN.)

Exhibit 3. Average share of tickets sold, last three events

VIP	Regular
70%	90%

Sponsors pay the same regardless of attendance.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] VIP: 280 × $50 = $14,000
- [ ] Regular: 540 × $20 = $10,800
- [ ] Commission falls too: 820 × $3 = $2,460
- [ ] Expected profit ≈ $9,140: below the $10,000 bar

ANSWER KEY, DON'T SHOW

```
Revenue: 14,000 + 10,800 + 6,000 = $30,800
Costs: 19,200 + 2,460 = $21,660
Profit = $9,140 (about $860 short)
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many VIP tickets is 70%?"
2. "Does the commission change?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Apply sell-through to each tier
2. Recompute variable costs too
3. New profit vs. the goal
4. So what

Phrases to listen for: "Using past sell-through..." · "So the full-house case is misleading."

EXAMPLE ANSWER, SAID OUT LOUD

> **Using past sell-through:** 280 VIP tickets bring $14,000 and 540 regular $10,800; with sponsors, revenue is $30,800. Costs are $19,200 plus $2,460 of commission, $21,660.

> **Expected profit is about $9,100, roughly $860 short of the target. So the full-house case is misleading.**

7 Important aspects

4 min

SAY

"This seems like a profitable idea. What are the important aspects of the event we have to address?"

HOW TO STEER

- Casebook: a non-exhaustive list. The candidate might come up with other ideas; accept them if they're sensible.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Barriers to entry: license, local business regulations
- [ ] Culture and preferences of the target market
- [ ] How to sell the tickets to reach 100% occupancy
- [ ] Additional revenue streams

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] License to organize concert events
- [ ] Local business regulations (may need a local partner/patron)
- [ ] Culture: e.g. audience arrangements that respect local norms
- [ ] Ticket sales channels: online box office, local stores, social media
- [ ] Sales timeline: start selling 1, 3 or 6 months before
- [ ] Extra revenue: accessories (glow sticks, t-shirts)
- [ ] Extra revenue: DJ and performer memorabilia
- [ ] Extra revenue: restaurants and food carts
- [ ] Extra revenue: non-alcoholic drinks
- [ ] Extra revenue: valet parking

ASK IF THEIR ANSWER IS THIN

- "What do you need before you're even allowed to hold the event?"
- "How would you actually sell 1,000 tickets?"
- "Is there anything specific to Riyadh's audience?"

ANSWER KEY, DON'T SHOW

Four groups (casebook): **1. Barriers to entry** (license, local regulations, local partner). **2. Culture and preferences**. **3. Selling out** (channels and timeline). **4. Additional revenue streams** (accessories, memorabilia, food, drinks, parking).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say how many groups
2. Barriers → culture → selling out → extra revenue
3. 1–2 concrete examples each

Phrases to listen for: "I'd group them into four areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd group them into four areas.** **One, barriers to entry**: the license to organize concerts, and local business regulations, which may require a local partner. **Two, culture and preferences**: designing the event to respect local norms. **Three, selling out**: online box office, local stores and social media, starting sales one to six months ahead. **Four, additional revenue streams**: accessories, memorabilia, food carts, drinks and valet parking.

8 Closing the gap ADDED

2–3 min

SAY

"Realistically they're about $860 short of their $10,000 bar. How would you close that gap?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Uses extra revenue streams: one food stand or merch table covers it
- [ ] Another sponsor
- [ ] Early-bird presale to lift VIP sales
- [ ] Negotiate the DJ or venue fee, or the commission
- [ ] Sizes at least one idea

ANSWER KEY, DON'T SHOW

Example: "500 people spending $5 at a food stand with a 50% margin is $1,250, which closes the gap on its own."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Size the gap
2. Pick the easiest lever and size it

3. List backups

Phrases to listen for: "The gap is small, under $1,000." · "That alone closes it."

EXAMPLE ANSWER, SAID OUT LOUD

> **The gap is small, under $1,000.** The easiest lever is the extra revenue streams: **500 people spending $5 at a food stand with a 50% margin is $1,250**, which closes it alone. Other options: one more sponsor, an early-bird presale to lift VIP sales, or negotiating the commission or venue fee.

9 Recommendation ADDED

1–2 min

SAY

"So, should they do it?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: yes, but only with extra income secured
- [ ] Full house $15.8k, realistic $9.1k: under the $10k bar
- [ ] Close the gap with a food concession or one more sponsor
- [ ] Secure the license; respect local norms; start ticket sales early

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first, with the condition
2. Full-house vs. realistic numbers
3. How to close the gap
4. Next steps

Phrases to listen for: "I recommend going ahead, but only once..."

EXAMPLE ANSWER, SAID OUT LOUD

> **I recommend going ahead, but only once extra income is secured.** A full house makes $15,800, but based on past events the realistic profit is about $9,100, just under their $10,000 minimum. **One food concession or one more sponsor closes that gap.** **Next steps:** secure the license, design the event around local norms, and start ticket sales early.

▼ Show the full sample interview

INTERVIEWER

"Our client is an entertainment company that wants to host a concert in Riyadh with a famous DJ, one night only."

"They have come to us to see if it's a good idea or not, and need to decide within two weeks."

CANDIDATE

To recap: our client is an entertainment company that wants to host a one-night concert in Riyadh with a famous DJ, and needs to decide **whether it's a good idea** within two weeks. A few questions: **how do they define success**, is there a profit target? What's the venue capacity? And do we have data from their past events?

INTERVIEWER · FRAMEWORK

"How would you structure this?"

CANDIDATE

I'd look at three areas. First, **profitability**: revenues from tickets, sponsors and extras, minus fixed costs like the DJ and venue and variable costs like commissions. Second, **demand**: how many tickets will realistically sell. Third, **feasibility**: the license, local regulations and cultural fit. **I'd then compare expected profit with their $10,000 threshold. Does that sound good?**

INTERVIEWER · REVENUE STREAMS

"What revenue streams could a concert like this have?"

CANDIDATE

The core streams are tickets, by tier, and sponsorships. On top of that, events can earn from **food carts and non-alcoholic drinks, merchandise like glow sticks and t-shirts, DJ memorabilia, and valet parking**. I'd start with tickets and sponsors, and keep the extras as upside.

INTERVIEWER · FULL-HOUSE REVENUE

"Let's start with the numbers. What revenue would the concert bring in if it sells out?"

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DJDS Events	$1,000

CANDIDATE

VIP is 400 tickets at $50, so $20,000. Regular is 600 at $20, so $12,000. Sponsors add $6,000. **Total revenue at a full house is $38,000.**

INTERVIEWER · COSTS AND PROFIT

"And the costs? Which are fixed and which variable, and what's the profit if it sells out?"

Exhibit 2. Costs

- $3 commission PR affiliates make on each ticket sold
- DJ: $6,000
- Venue rent: $5,000
- Maintenance and insurance: $4,000
- Operational expenses: $4,200

CANDIDATE

I'll split costs into fixed and variable. Fixed: DJ $6,000, venue $5,000, maintenance and insurance $4,000, operations $4,200, so $19,200. Variable: $3 commission on 1,000 tickets, $3,000. Total costs $22,200, **so profit is $15,800**, **above the $10,000 bar if it sells out.**

INTERVIEWER · REALISTIC SALES

"That assumes every ticket sells. Here's how the client's last three events sold. What profit should they expect?"

Exhibit 3. Average share of tickets sold, last three events

VIP	Regular
70%	90%

Sponsors pay the same regardless of attendance.

CANDIDATE

Using past sell-through: 280 VIP tickets bring $14,000 and 540 regular $10,800; with sponsors, revenue is $30,800. Costs are $19,200 plus $2,460 of commission, $21,660. **Expected profit is about $9,100, roughly $860 short of the target.** **So the full-house case is misleading.**

INTERVIEWER · IMPORTANT ASPECTS

"This seems like a profitable idea. What are the important aspects of the event we have to address?"

CANDIDATE

I'd group them into four areas. **One, barriers to entry**: the license to organize concerts, and local business regulations, which may require a local partner. **Two, culture and preferences**: designing the event to respect local norms. **Three, selling out**: online box office, local stores

and social media, starting sales one to six months ahead. **Four, additional revenue streams**: accessories, memorabilia, food carts, drinks and valet parking.

INTERVIEWER · CLOSING THE GAP

"Realistically they're about $860 short of their $10,000 bar. How would you close that gap?"

CANDIDATE

The gap is small, under $1,000. The easiest lever is the extra revenue streams: **500 people spending $5 at a food stand with a 50% margin is $1,250**, which closes it alone. Other options: one more sponsor, an early-bird presale to lift VIP sales, or negotiating the commission or venue fee.

INTERVIEWER · RECOMMENDATION

"So, should they do it?"

CANDIDATE

I recommend going ahead, but only once extra income is secured. A full house makes $15,800, but based on past events the realistic profit is about $9,100, just under their $10,000 minimum. **One food concession or one more sponsor closes that gap.** **Next steps:** secure the license, design the event around local norms, and start ticket sales early.

Score this case

Use the ticks above and the rubric. 3 = would pass.

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Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: … / Fix: …

CASE 4 OF 10

Billionaire Banker

Market entry | Easy | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A real-estate billionaire with no banking experience wants to enter Saudi banking. The candidate looks at competitors, barriers and market share, finds the two ways to enter (build or buy), compares their payback, and recommends based on risk.

THE ANSWER IN ONE LINE, DON'T SHOW

New bank: **6.8 years** payback (8.8 with 2 years to launch). Buying a bank: **8 years**, but safer (existing customers, real profits). Casebook answer: **it depends on the client's risk appetite**. Added catch: the target lends 35% to real estate, which works against the client's diversification goal.

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The real-estate background and the $25M budget are added.

SAY

"Your client is a Saudi billionaire who made their fortune in real estate. They're considering entering the Saudi banking sector and have up to $25 million to invest."

"Should they do it or not? What are the factors that should be considered?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Does the client have banking experience?	"No, no past experience in the banking industry."
How competitive is the market?	"The Saudi banking market is relatively saturated, but there's still room for an entrant like our client."
Are there regulations in the way?	"There are no new regulations preventing entry. Saudization should be considered for this entry."
Why banking? ADDED	"They want to diversify away from real estate."
What's their objective? ADDED	"A long-term business. They prefer to avoid big risks."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Finds the client has no banking experience
- [ ] Asks about regulation and Saudization
- [ ] Asks about the client's motive and risk appetite

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I have it**: our client made their fortune in real estate, has up to $25 million, and is considering entering Saudi banking. **The questions are whether to do it, and what to consider.** Could I ask: do they have banking experience? Are there regulations in the way? And why banking?

2 Framework

2–3 min

SAY

"What factors would you look at?"

HOW TO STEER

- Casebook: this is more of a discussion case. Any interesting information the candidate gives can be taken into consideration.
- The candidate should target three buckets: competitors, barriers to entry, market size and share.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Competitors: who they are, how established, their goals, trends
- [ ] Barriers to entry: Saudi partner (Saudization), regulations
- [ ] Market size and share: share we could win, competitors' shares

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Who are the competitors? Are they well established in KSA?
- [ ] Do competitors have the same goals as our client?
- [ ] Market trends, alternatives and future projections
- [ ] Do we need a Saudi partner to enter? (Saudization)
- [ ] Any regulations set by the government?
- [ ] What market share could the client get after entering?
- [ ] What are competitors' market shares?

ASK IF THEIR ANSWER IS THIN

- "What could make it hard for a newcomer to enter?"
- "How much of the market could the client realistically win?"

ANSWER KEY, DON'T SHOW

Competitors (who, how established, their goals, trends and projections) / **Barriers to entry** (Saudi partner for Saudization, government regulations) / **Market size and share** (our potential share, competitors' shares).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What could stop a newcomer from succeeding in banking?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say how many areas
2. Competitors, barriers, market share (2–3 sub-bullets each)
3. Add the client's fit and financials if you can
4. Check in

Phrases to listen for: "I'd look at three areas." · "Does that sound good?"

EXAMPLE ANSWER, SAID OUT LOUD

> I'd look at three areas. Competitors: who they are, how established they are in KSA, whether they share our client's goals, and market trends. Barriers to entry: whether we need a Saudi partner for Saudization, and government regulations. Market size and share: what share our client could realistically win, and competitors' shares. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness

- Market size and growth
- Profitability of banking
- Niches growing fastest

Competitive landscape

- Concentration: top players' shares
- Barriers: license, Saudization, local partner

Company capabilities

- No banking experience or credibility
- $25M budget

Financial considerations & risks

- Build vs. buy: payback
- Forecast vs. proven profits: risk appetite

The casebook framework stops at competitors, barriers and share. The book's buckets add the client's capabilities and the financials, which is exactly what the case turns on.

3 The market ADDED

3 min

SAY

"Here's an overview of the market. What does it tell you?"

GIVE ONLY WHEN: WHEN THEY ASK ABOUT THE MARKET OR COMPETITORS.

Exhibit 1. Saudi retail banking (illustrative)

Indicator	Value
Sector profit growth	~6% a year
Share of deposits held by top 5 banks	75%
Fastest-growing segments	Digital banking, small-business lending

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Growing and profitable
- [ ] Concentrated: hard to win share from scratch
- [ ] Opportunity in niches: digital, small businesses

ANSWER KEY, DON'T SHOW

Attractive but concentrated: a saturated market with high barriers for a newcomer, with some room in niches.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two takeaways: attractive vs. hard
2. Back each with a number
3. So what for a newcomer

Phrases to listen for: "Two takeaways." · "This points toward buying a foothold rather than building."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two takeaways.** The market is attractive: profits are growing about 6% a year. But it's **highly concentrated**, with the top five holding 75% of deposits, so winning share from scratch is hard. **The opportunity is in faster-growing niches** like digital banking and small-business lending.

4 Ways to enter

2 min

SAY

"How could the client actually get into banking?"

HOW TO STEER

- Casebook: guide the candidate to the realization that there are 2 ways to enter the market, and that they must study the profitability of each.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Start a bank from scratch (organic / greenfield)
- [ ] Acquire an existing player
- [ ] Bonus: a partnership or joint venture

ASK IF THEIR ANSWER IS THIN

- "Does the client have to start from zero?"
- "Could they buy their way in?"

ANSWER KEY, DON'T SHOW

Two ways: **build** a new bank (greenfield), or **buy** an existing player.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Does the client have to build a bank from zero?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the options
2. Say how you'll compare them

Phrases to listen for: "There are two main ways in: build or buy."

EXAMPLE ANSWER, SAID OUT LOUD

> **There are two main ways in.** One, **build**: open a new bank from scratch. Two, **buy**: acquire an existing player. A third, softer option would be a partnership. **I'd compare the first two on profitability and risk.**

5 Profitability of each

4 min

SAY

"Here are the numbers for both options. What's the payback period of each?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 2. Entry options

Option 1: open our own bank	Option 2: acquire an existing player
Initial investment: $15M	Cost of acquisition: $20M
Yearly revenues: $10M	Yearly profit: $2.5M
Profit margin: 22%	

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Option 1 profit = $10M × 22% = $2.2M a year
- [ ] Option 1 payback = 15 ÷ 2.2 ≈ 6.8 years
- [ ] Option 2 payback = 20 ÷ 2.5 = 8 years

ANSWER KEY, DON'T SHOW

```
Option 1: $10M × 22% = $2.2M → 15 ÷ 2.2 ≈ 6.8 years
Option 2: 20 ÷ 2.5 = 8 years
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the yearly profit of Option 1?"
2. "Payback is investment divided by yearly profit."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profit of option 1, then payback
2. Payback of option 2
3. Compare on numbers only

Phrases to listen for: "On payback alone, building looks faster."

EXAMPLE ANSWER, SAID OUT LOUD

> **Option 1** earns 22% of $10 million, $2.2 million a year, so 15 divided by 2.2 is **about 6.8 years**. **Option 2** is $20 million for $2.5 million a year, **8 years**. **On payback alone, building looks faster.**

6 Risk of each

3 min

SAY

"So Option 1 pays back faster. Is it the better choice?"

HOW TO STEER

- Casebook: this is the real test. Building is risky because the client has no experience or credibility. Acquiring is safer because the player has an established customer base, but there's a concern about its profitability.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Doesn't just pick the faster option
- [ ] Option 1: risky; no experience, no credibility, the $10M is only a forecast
- [ ] Option 2: safer; established customer base, real profits
- [ ] Says it depends on the client's risk appetite

IF THEY SAY… YOU SAY

"Yes, 6.8 is less than 8, so build."	"How sure are we of the $10M revenue for a brand-new bank with no track record?"

ANSWER KEY, DON'T SHOW

Opening a bank means the revenues, and so the profits, are forecast; the money isn't actually there. With an acquisition, the customer base exists and the money is there, so the risk is lower.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How sure are we of the $10M revenue for a brand-new bank?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Push back on the obvious answer
2. Risks of building
3. Why buying is safer
4. Tie to risk appetite

Phrases to listen for: "Not necessarily." · "The $10 million is a forecast, not money that's actually there." · "So it depends on the client's risk appetite."

EXAMPLE ANSWER, SAID OUT LOUD

> **Not necessarily.** Building is riskier: the client has no banking experience and no credibility, and **the $10 million is a forecast, not money that's actually there**. Buying gives an **established customer base and real profits**, so the risk is lower. **So the answer depends on the client's risk appetite.**

7 Launch delay ADDED

2 min

Beyond the AUBCC casebook: The 2-year launch and 300 Saudization hires are new.

SAY

"One more fact: getting a banking license, hiring and launching takes about two years, and the new bank would need to hire around 300 staff to meet Saudization. The bank for sale already complies and earns from day one. Does that change the comparison?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 6.8 years of profit + 2 years before earning ≈ 8.8 years
- [ ] Now slower than buying (8 years) as well as riskier
- [ ] Saudization hiring adds cost and time to building

ANSWER KEY, DON'T SHOW

`Option 1: 6.8 + 2 ≈ 8.8 years vs. Option 2: 8 years`

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Add the delay to the payback
2. Re-compare
3. Restate the conclusion

Phrases to listen for: "So buying is now both faster and lower risk."

EXAMPLE ANSWER, SAID OUT LOUD

> **Yes, it does.** The new bank earns nothing for two years, so its real payback is 6.8 plus 2, **about 8.8 years**, slower than buying at 8. And hiring 300 staff for Saudization adds cost. **So buying is now both faster and lower risk.**

8 The catch ADDED

3 min

SAY

"Buying looks better. Here's one more thing from the target bank's accounts. Any concerns?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 3. Target bank loan book

Sector	Share of loans
Real estate developers and mortgages	35%
Personal loans	30%
Small businesses	20%
Other	15%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 35% real estate is high
- [ ] The client wanted to diversify AWAY from real estate: this deepens the exposure
- [ ] A property downturn would hit both the client's wealth and the bank
- [ ] Suggests due diligence, or reducing that share after buying

ANSWER KEY, DON'T SHOW

The acquisition works against the client's own objective unless the real-estate exposure is reduced.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Why did the client want to enter banking in the first place?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the concern
2. Link it to the client's objective
3. Propose a condition

Phrases to listen for: "Yes, one significant concern." · "I'd make the deal conditional on..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Yes, one significant concern.** 35% of the target's loans are to real estate. **The client's goal was to diversify away from real estate**, so this doubles down on it: a property downturn would hit their wealth and the bank at once. **I'd make the deal conditional on due diligence**, and a plan to reduce that share.

9 Recommendation PARTLY ADDED

1–2 min

Beyond the AUBCC casebook: Risk appetite is the casebook's answer; the real-estate condition is added.

SAY

"What's your recommendation?"

HOW TO STEER

- Casebook: an important factor is the client's risk appetite. It depends on what the client wants.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first, tied to risk appetite: for a risk-averse client, acquire
- [ ] Reasons: established customers and proven profit, Saudization compliance, and faster once the launch delay counts
- [ ] Condition: reduce the real-estate loan exposure
- [ ] Next steps: due diligence, valuation, keep the management team

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first, tied to risk appetite
2. Three reasons
3. The condition
4. Next steps

Phrases to listen for: "Given the client prefers to avoid big risks, I recommend..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Given the client prefers to avoid big risks, I recommend entering by acquiring the existing bank.** Three reasons: it comes with customers and real profits, not forecasts; it's already Saudization-compliant; and once the two-year launch is counted, it pays back faster, 8 years versus almost 9. **The condition** is reducing the 35% real-estate exposure. **Next steps:** loan-book due diligence, a valuation check, and retaining management.

▼ Show the full sample interview

INTERVIEWER

"Your client is a Saudi billionaire who made their fortune in real estate. They're considering entering the Saudi banking sector and have up to $25 million to invest."

"Should they do it or not? What are the factors that should be considered?"

CANDIDATE

Let me make sure I have it: our client made their fortune in real estate, has up to $25 million, and is considering entering Saudi banking. **The questions are whether to do it, and what to consider.** Could I ask: do they have banking experience? Are there regulations in the way? And why banking?

INTERVIEWER · FRAMEWORK

"What factors would you look at?"

CANDIDATE

I'd look at three areas. **Competitors**: who they are, how established they are in KSA, whether they share our client's goals, and market trends. **Barriers to entry**: whether we need a Saudi partner for Saudization, and government regulations. **Market size and share**: what share our client could realistically win, and competitors' shares. **Does that sound good?**

INTERVIEWER · THE MARKET

"Here's an overview of the market. What does it tell you?"

Exhibit 1. Saudi retail banking (illustrative)

Indicator	Value
Sector profit growth	~6% a year
Share of deposits held by top 5 banks	75%
Fastest-growing segments	Digital banking, small-business lending

CANDIDATE

Two takeaways. The market is attractive: profits are growing about 6% a year. But it's **highly concentrated**, with the top five holding 75% of deposits, so winning share from scratch is hard. **The opportunity is in faster-growing niches** like digital banking and small-business lending.

INTERVIEWER · WAYS TO ENTER

"How could the client actually get into banking?"

CANDIDATE

There are two main ways in. One, **build**: open a new bank from scratch. Two, **buy**: acquire an existing player. A third, softer option would be a partnership. **I'd compare the first two on profitability and risk.**

INTERVIEWER · PROFITABILITY OF EACH

"Here are the numbers for both options. What's the payback period of each?"

Exhibit 2. Entry options

Option 1: open our own bank	Option 2: acquire an existing player
Initial investment: $15M	Cost of acquisition: $20M
Yearly revenues: $10M	Yearly profit: $2.5M
Profit margin: 22%	

CANDIDATE

Option 1 earns 22% of $10 million, $2.2 million a year, so 15 divided by 2.2 is **about 6.8 years**. **Option 2** is $20 million for $2.5 million a year, **8 years**. **On payback alone, building looks faster.**

INTERVIEWER · RISK OF EACH

"So Option 1 pays back faster. Is it the better choice?"

CANDIDATE

Not necessarily. Building is riskier: the client has no banking experience and no credibility, and **the $10 million is a forecast, not money that's actually there**. Buying gives an **established customer base and real profits**, so the risk is lower. **So the answer depends on the client's risk appetite.**

INTERVIEWER · LAUNCH DELAY

"One more fact: getting a banking license, hiring and launching takes about two years, and the new bank would need to hire around 300 staff to meet Saudization. The bank for sale already complies and earns from day one. Does that change the comparison?"

CANDIDATE

Yes, it does. The new bank earns nothing for two years, so its real payback is 6.8 plus 2, **about 8.8 years**, slower than buying at 8. And hiring 300 staff for Saudization adds cost. **So buying is now both faster and lower risk.**

INTERVIEWER · THE CATCH

"Buying looks better. Here's one more thing from the target bank's accounts. Any concerns?"

Exhibit 3. Target bank loan book

Sector	Share of loans
Real estate developers and mortgages	35%
Personal loans	30%
Small businesses	20%
Other	15%

CANDIDATE

Yes, one significant concern. 35% of the target's loans are to real estate. **The client's goal was to diversify away from real estate**, so this doubles down on it: a property downturn would hit their wealth and the bank at once. **I'd make the deal conditional on due diligence**, and a plan to reduce that share.

INTERVIEWER · RECOMMENDATION

"What's your recommendation?"

CANDIDATE

Given the client prefers to avoid big risks, I recommend entering by acquiring the existing bank. Three reasons: it comes with customers and real profits, not forecasts; it's already Saudization-compliant; and once the two-year launch is counted, it pays back faster, 8 years versus almost 9. **The condition** is reducing the 35% real-estate exposure. **Next steps:** loan-book due diligence, a valuation check, and retaining management.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 5 OF 10

TV Family Business

Market entry | Medium | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A Dubai family business wants to buy a TV channel and earn back the price within 5 years. The full ad-slot math says exactly 5 years, but not every slot sells, so it's really 7.5. The candidate finds ways to speed up payback and the right price to pay.

THE ANSWER IN ONE LINE, DON'T SHOW

Theoretical revenue $9M → payback 5 years. The limit is **demand**: not all ad slots sell; actual revenue **$8M** → **7.5 years**, which fails the goal. Speed it up with subscriptions, filling slots (incl. the family's own ads), entertainment shows, and cutting labor costs. Don't pay $15M; **about $10M** works.

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: Naming the restaurant chain and bus company is added.

SAY

"Our client is a family business in Dubai that wants to acquire a TV channel broadcasting company. They already own and operate businesses in F&B (a restaurant chain) and transportation (a bus company)."

"Is this a good idea or not?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the client's objective?	"A payback period of less than 5 years."
How does the channel make money?	"The only revenue stream is advertisements."
Do they have the money and expertise?	"Yes, they have the necessary expertise and capability."
Are there barriers or regulations?	"No barriers to entry."
Why do they want this channel? ADDED	"Diversification, and they think it could help their other businesses."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Pins down the goal: payback under 5 years
- [ ] Asks how the channel makes money
- [ ] Asks why they want it (finds the synergy angle)

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **So, to recap**: a Dubai family business with restaurants and a bus company wants to acquire a TV channel, and **wants a payback in under five years.** A couple of questions: how does the channel make money? Do they have the expertise and money? And are there regulatory barriers?

2 Framework

2–3 min

SAY

"How would you approach this?"

HOW TO STEER

- Casebook: the candidate should target three buckets: client, market, profitability.
- After they present it, guide them to profitability: say the client has the necessary expertise and capability and there are no barriers to entry.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Client: financial capability, expertise, conflicts with their other businesses
- [ ] Market: competitors, market leaders, potential share, barriers
- [ ] Profitability: revenue streams, prices, volume; initial investment, fixed and variable costs

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Client: financial capability to acquire
- [ ] Client: expertise
- [ ] Client: conflicts of interest with other businesses
- [ ] Market: competitors and market leaders
- [ ] Market: potential market share
- [ ] Market: barriers (regulations, policies, antitrust laws)
- [ ] Revenue streams (subscriptions, packages and bundles, ads)
- [ ] Prices of subscriptions, bundles, ads
- [ ] Volume (number of subscribers/viewers)
- [ ] Costs: initial investment, fixed costs, variable costs

ASK IF THEIR ANSWER IS THIN

- "Could owning a channel conflict with their other businesses?"
- "What would you need to know about revenue?"

ANSWER KEY, DON'T SHOW

Client (finances, expertise, conflicts of interest) / **Market** (competitors, leaders, potential share, barriers: regulations, policies, antitrust) / **Profitability** (revenue: streams, prices, volume; costs: initial investment, fixed, variable).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Client, market, profitability (2–3 sub-bullets each)
2. Say which matters most: payback
3. Check in

Phrases to listen for: "Since payback is the deal-breaker, I'd focus on profitability."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd look at three areas. The client: financial capability, expertise, and any conflicts of interest with their other businesses. The market: competitors, market leaders, our potential share, and barriers such as regulations or antitrust. Profitability: revenue streams, prices and volume; and costs, meaning the initial investment, fixed and variable costs. Since payback is the deal-breaker, I'd focus on profitability. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations

- Ad revenue: peak vs. non-peak, slots sold
- Costs: $6M a year, mainly labor
- Payback vs. the 5-year goal

Synergies

- Family's restaurants and buses can advertise
- Cross-promotion of their businesses

Market attractiveness & competition

- Ad market trend
- Competing channels, antitrust

Company capabilities

- Media expertise, management
- Conflicts of interest

The casebook's Client / Market / Profitability misses Synergies. With the book's buckets, the family's own advertising shows up from the start, not at the end.

3 Revenue streams PARTLY ADDED

2 min

Beyond the AUBCC casebook: The streams come from the casebook's framework; asking them as a question is added.

SAY

"The client has the expertise and there are no barriers, so let's focus on profitability. How can a TV channel make money?"

HOW TO STEER

- After they list them: "For this channel, the only revenue stream today is advertising."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Advertising
- [ ] Subscriptions
- [ ] Packages and bundles
- [ ] Bonus: content licensing, sponsorship of shows

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Advertisements
- [ ] Subscriptions
- [ ] Packages and bundles

ANSWER KEY, DON'T SHOW

Ads, subscriptions, packages and bundles. This channel earns only from ads, so subscriptions are a later lever.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. List the streams
2. Say which this channel uses

Phrases to listen for: "A TV channel can earn from..."

EXAMPLE ANSWER, SAID OUT LOUD

> **A TV channel can earn from** advertising, subscriptions, and packages or bundles with other channels. **Since this channel earns only from ads**, subscriptions are a lever we could add later.

4 Maximum ad revenue

4 min

SAY

"Here's how the channel runs. What's the yearly ad revenue?"

HOW TO STEER

- Casebook: use a bottom-up approach to determine revenues.

GIVE ONLY WHEN: WHEN THEY ASK HOW ADS ARE SOLD, OR RIGHT AWAY IF THEY'RE STUCK.

Exhibit 1. Channel operations

- Operates 24/7, **300 days** a year
- Every hour: **10 minutes of ads** and 50 minutes of shows
- Peak hours (**4 hours a day**): 1 minute of ads costs **$250**
- Non-peak hours (**20 hours a day**): 1 minute of ads costs **$100**

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Peak: 250 × 10 × 4 × 300 = $3M
- [ ] Non-peak: 100 × 10 × 20 × 300 = $6M
- [ ] Total $9M

ANSWER KEY, DON'T SHOW

```
Peak: $250 × 10 × 4 × 300 = $3M
Non-peak: $100 × 10 × 20 × 300 = $6M
Total = $9M per year
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Start with one hour of peak time."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Bottom-up: peak and non-peak separately
2. Price × minutes × hours × days
3. Total

Phrases to listen for: "I'll go bottom-up, peak and non-peak separately."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll go bottom-up, peak and non-peak separately.** Peak: $250 a minute, 10 minutes an hour, 4 hours, 300 days, so **$3 million**. Non-peak: $100, 10 minutes, 20 hours, 300 days, so **$6 million**. **Total: $9 million a year.**

5 Payback

2 min

SAY

"The initial investment is $15 million, and yearly operational costs are $6 million, mainly labor. What's the payback period?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit = 9 − 6 = $3M
- [ ] Payback = 15 ÷ 3 = 5 years
- [ ] Notes it just misses 'less than 5 years'

ANSWER KEY, DON'T SHOW

```
Payback = Initial investment ÷ Yearly profit = 15 ÷ (9 − 6) = 5 years
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profit = revenue − costs
2. Payback = investment ÷ profit
3. Compare with the goal

Phrases to listen for: "That just misses their goal of less than five."

EXAMPLE ANSWER, SAID OUT LOUD

> $9 million minus $6 million of costs is **$3 million of profit**. $15 million divided by $3 million is **exactly five years**. **That just misses their goal of less than five.**

6 Critique the result PARTLY ADDED

3–4 min

Beyond the AUBCC casebook: The $8M actual revenue is the casebook's; the slot sell-through exhibit is added.

SAY

"Does that result make sense to you?"

HOW TO STEER

- Casebook: ask the candidate to critique the result. They should realize the limiting factor is demand, not supply: not all ad slots are taken. Then tell them the actual yearly revenue is $8M.

GIVE ONLY WHEN: ONCE THEY QUESTION WHETHER EVERY SLOT SELLS (OR AFTER HINT 2).

Exhibit 2. Share of ad minutes actually sold last year

Peak	Non-peak
100%	~83%

Actual yearly revenue: **$8M**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Realizes $9M assumes every slot sells: it's a ceiling
- [ ] Recalculates: 8 − 6 = $2M → 15 ÷ 2 = 7.5 years
- [ ] Says it fails the 5-year goal
- [ ] Notes peak is sold out (room to raise peak prices); non-peak has unsold slots

ANSWER KEY, DON'T SHOW

```
Payback = 15 ÷ (8 − 6) = 7.5 years
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Is every ad minute always sold?"
2. "Is $9M what they earn, or the most they could earn?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Challenge your own number
2. Say why it's a ceiling
3. Recompute with the real figure
4. Conclude against the goal

Phrases to listen for: "Not quite. The $9 million assumes every slot is sold, so it's a ceiling."

EXAMPLE ANSWER, SAID OUT LOUD

> **Not quite. The $9 million assumes every ad slot is sold, so it's a ceiling.** With actual revenue of $8 million, profit is $2 million and **payback is 7.5 years, well beyond the goal.**

> Peak is sold out, so peak prices may be too low, while non-peak has unsold slots.

7 Speeding up payback

3–4 min

SAY

"How could they maximize profit to accelerate payback?"

HOW TO STEER

- Casebook: the candidate should look at two options: increase revenues and decrease costs.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Splits into increase revenues / decrease costs
- [ ] Revenue: charge a subscription
- [ ] Revenue: raise ad demand to fill capacity
- [ ] Revenue: entertainment programs to attract viewers
- [ ] Costs: lower initial investment, labor costs, outsource or automate

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Charge a subscription
- [ ] Increase ad demand to reach full capacity: marketing
- [ ] Increase ad demand: advertise the family business (F&B and transportation)
- [ ] Increase ad demand: broadcast awareness campaigns (e.g. smoking kills, suicide hotlines)
- [ ] Host entertainment programs (e.g. 'The Voice')
- [ ] Decrease the initial investment (negotiate the price)
- [ ] Decrease labor costs
- [ ] Outsource or automate certain jobs

ASK IF THEIR ANSWER IS THIN

- "What does the family already own that could buy ads?"
- "Which cost is biggest, and how could you reduce it?"

ANSWER KEY, DON'T SHOW

Increase revenues: subscription; fill ad capacity via marketing, the family's own businesses' ads and awareness campaigns; entertainment programs. **Decrease costs:** lower purchase price, labor costs, outsource or automate.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two buckets: revenues / costs
2. 3–4 revenue ideas, incl. the family's own ads
3. 2–3 cost ideas

Phrases to listen for: "I'd split it into increasing revenues and decreasing costs."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split it into increasing revenues and decreasing costs.** **Revenues**: charge a subscription; fill unsold ad slots through marketing, **advertising the family's own restaurants and buses**, and awareness campaigns; and host entertainment programs to grow the audience. **Costs**: negotiate a lower purchase price, reduce labor costs, and outsource or automate some jobs.

8 Synergies ADDED

3 min

Beyond the AUBCC casebook: The family's $1.2M ad spend is new.

SAY

> "Let's size one idea. The family's restaurants and buses currently spend $1.2 million a year on TV ads on other channels. What if they moved that spend to their own channel?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] They can only fill the ~$1M of unsold non-peak slots
- [ ] For the family it's a saving, not new outside money, but it counts at group level
- [ ] Effective profit back to ~$3M → payback 5 years: still not under 5
- [ ] Questions whether non-peak slots suit restaurant ads

ANSWER KEY, DON'T SHOW

Group view: $2M channel profit + ~$1M saved ad spend ≈ $3M → 5 years. Better, but still not under 5.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. What can move, and the cap (unsold slots)
2. Saving vs. new money
3. New payback vs. the goal

Phrases to listen for: "It's a saving, not new money."

EXAMPLE ANSWER, SAID OUT LOUD

> **That's a meaningful synergy.** The family could move about $1 million of its spending into the unsold non-peak slots. **It's a saving, not new money**, but at group level it brings profit

> back to about $3 million and **payback to five years: still not under five.**

9 The right price ADDED

2 min

SAY

"Without counting synergies, what's the most the family should pay to pay back within five years?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] $2M a year × 5 years = $10M
- [ ] Keeps synergies as negotiating room, not the base case

ANSWER KEY, DON'T SHOW

`$2M × 5 = $10M (anything below that pays back in under 5 years)`

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profit × years allowed = max price
2. How to use synergies in negotiation

Phrases to listen for: "I'd keep the synergies as negotiating room."

EXAMPLE ANSWER, SAID OUT LOUD

> **At $2 million of profit a year, five years of profit is $10 million.** So they shouldn't pay more than about $10 million, and **I'd keep the synergies as negotiating room.**

10 Recommendation ADDED

1–2 min

SAY

"What do you tell the family?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: don't buy at $15M
- [ ] Reasons: real payback 7.5 years; $9M is a ceiling; even moving their own ads only gets to 5
- [ ] Counter-offer around $10M, and/or lift profit: subscriptions, fill slots, entertainment shows, lower labor costs
- [ ] Next steps: seller's flexibility on price, ad market trend

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: not at this price
2. Reasons with numbers
3. Counter-offer and profit levers
4. Next steps

Phrases to listen for: "I recommend not buying at $15 million." · "I'd counter-offer around $10 million."

EXAMPLE ANSWER, SAID OUT LOUD

> **I recommend not buying at $15 million.** Real payback is 7.5 years, because the $9 million revenue is a ceiling the channel doesn't reach, and even moving the family's own ads only gets to five years. **I'd counter-offer around $10 million**, and plan to lift profit through subscriptions, filling ad slots, entertainment shows and lower labor costs. **Next steps:** test the seller's flexibility on price.

▼ Show the full sample interview

INTERVIEWER

"Our client is a family business in Dubai that wants to acquire a TV channel broadcasting company. They already own and operate businesses in F&B (a restaurant chain) and transportation (a bus company)."

"Is this a good idea or not?"

> CANDIDATE
>
> **So, to recap**: a Dubai family business with restaurants and a bus company wants to acquire a TV channel, and **wants a payback in under five years.** A couple of questions: how does the channel make money? Do they have the expertise and money? And are there regulatory barriers?

INTERVIEWER · FRAMEWORK

"How would you approach this?"

> CANDIDATE
>
> **I'd look at three areas.** **The client**: financial capability, expertise, and any conflicts of interest with their other businesses. **The market**: competitors, market leaders, our potential share, and barriers such as regulations or antitrust. **Profitability**: revenue streams, prices and volume; and costs, meaning the initial investment, fixed and variable costs. **Since payback is the deal-breaker, I'd focus on profitability.** **Does that sound good?**

INTERVIEWER · REVENUE STREAMS

"The client has the expertise and there are no barriers, so let's focus on profitability. How can a TV channel make money?"

> CANDIDATE

A TV channel can earn from advertising, subscriptions, and packages or bundles with other channels. **Since this channel earns only from ads**, subscriptions are a lever we could add later.

INTERVIEWER · MAXIMUM AD REVENUE

"Here's how the channel runs. What's the yearly ad revenue?"

Exhibit 1. Channel operations

- Operates 24/7, **300 days** a year
- Every hour: **10 minutes of ads** and 50 minutes of shows
- Peak hours (**4 hours a day**): 1 minute of ads costs **$250**
- Non-peak hours (**20 hours a day**): 1 minute of ads costs **$100**

CANDIDATE

I'll go bottom-up, peak and non-peak separately. Peak: $250 a minute, 10 minutes an hour, 4 hours, 300 days, so **$3 million**. Non-peak: $100, 10 minutes, 20 hours, 300 days, so **$6 million**. **Total: $9 million a year.**

INTERVIEWER · PAYBACK

"The initial investment is $15 million, and yearly operational costs are $6 million, mainly labor. What's the payback period?"

CANDIDATE

$9 million minus $6 million of costs is **$3 million of profit**. $15 million divided by $3 million is **exactly five years**. **That just misses their goal of less than five.**

INTERVIEWER · CRITIQUE THE RESULT

"Does that result make sense to you?"

Exhibit 2. Share of ad minutes actually sold last year

Peak	Non-peak
100%	~83%

Actual yearly revenue: **$8M**.

CANDIDATE

Not quite. The $9 million assumes every ad slot is sold, so it's a ceiling. With actual revenue of $8 million, profit is $2 million and **payback is 7.5 years, well beyond the goal.** Peak is sold out, so peak prices may be too low, while non-peak has unsold slots.

INTERVIEWER · SPEEDING UP PAYBACK

"How could they maximize profit to accelerate payback?"

CANDIDATE

I'd split it into increasing revenues and decreasing costs. **Revenues**: charge a subscription; fill unsold ad slots through marketing, **advertising the family's own restaurants and buses**, and awareness campaigns; and host entertainment programs to grow the audience. **Costs**: negotiate a lower purchase price, reduce labor costs, and outsource or automate some jobs.

INTERVIEWER · SYNERGIES

"Let's size one idea. The family's restaurants and buses currently spend $1.2 million a year on TV ads on other channels. What if they moved that spend to their own channel?"

CANDIDATE

That's a meaningful synergy. The family could move about $1 million of its spending into the unsold non-peak slots. **It's a saving, not new money**, but at group level it brings profit back to about $3 million and **payback to five years: still not under five.**

INTERVIEWER · THE RIGHT PRICE

"Without counting synergies, what's the most the family should pay to pay back within five years?"

CANDIDATE

At $2 million of profit a year, five years of profit is $10 million. So they shouldn't pay more than about $10 million, and **I'd keep the synergies as negotiating room.**

INTERVIEWER · RECOMMENDATION

"What do you tell the family?"

CANDIDATE

I recommend not buying at $15 million. Real payback is 7.5 years, because the $9 million revenue is a ceiling the channel doesn't reach, and even moving the family's own ads only gets to five years. **I'd counter-offer around $10 million**, and plan to lift profit through subscriptions, filling ad slots, entertainment shows and lower labor costs. **Next steps:** test the seller's flexibility on price.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 6 OF 10

Plane Ticket Price

Pricing | Medium | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

An airline is launching Dubai–Paris and wants the ticket price that makes the most profit. The candidate maps the airline's revenue streams and costs, sorts fixed from variable, builds a demand curve and a profit formula, and finds the best price. Then they question a result that leaves the plane half empty.

THE ANSWER IN ONE LINE, DON'T SHOW

Demand: **Seats = −0.1 × Price + 300**. Profit = $-0.1P^2 + 350P - 160{,}000$, maximized at **$1,750** (125 passengers, ~$146k profit per flight). But that's above competitors and only 42% full, so add **restricted discount fares** (e.g. +$30k from 75 group seats).

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: '300-seat aircraft' is from the casebook's data; nothing else added.

SAY

"Our client is an airline company based in Dubai. They want to prepare a flight from Dubai to Paris on a 300-seat aircraft."

"They want us to find the price per ticket that maximizes profit."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How many seats on the plane?	"300 seats."
One cabin class? ADDED	"Assume a single economy cabin."
Who else flies the route? ADDED	"Two other airlines. I'll share their prices if they become relevant."
Do we know how demand reacts to price? ADDED	"Yes, we have some market research. Ask when you need it."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: one flight, find the profit-maximizing ticket price
- [ ] Asks how demand responds to price
- [ ] Asks about revenue and costs

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To make sure I understand**: our client, a Dubai airline, is preparing a Dubai–Paris flight on a 300-seat plane and **wants the ticket price that maximizes profit**. Questions: is it a single cabin class? Do we know how demand changes with price? And what does a flight cost?

2 Approach

2 min

SAY

"How do you want to tackle this?"

HOW TO STEER

- Casebook: this is not a very typical profitability case. The candidate must express profit in terms of P, the ticket price, then take the derivative and set it to zero to find the maximizing price.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit = revenue − costs
- [ ] Higher price → fewer seats sold: needs a demand relationship
- [ ] Write profit as a function of price, then find its peak
- [ ] Plans to sanity-check against competitors

ASK IF THEIR ANSWER IS THIN

- "If you raise the price, what happens to the number of passengers?"
- "What do you need to know to write profit as a formula?"

ANSWER KEY, DON'T SHOW

Profit = Revenue − Costs. Revenue = price × seats sold, and seats depend on price. Costs = fixed + variable × seats. Write profit as a function of P, then maximize.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "If you raise the price, what happens to the number of passengers?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the case type: pricing
2. Profit as a function of price
3. Say you need a demand relationship
4. Plan to sanity-check

Phrases to listen for: "I'll express profit as a function of the ticket price."

EXAMPLE ANSWER, SAID OUT LOUD

> **This is a pricing problem, so I'll express profit as a function of the ticket price.** Revenue is price times seats sold, and seats depend on price, so I need a demand relationship. Costs are fixed plus variable per passenger. **Then I'll find the price where profit peaks**, and sanity-check it. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Profit as a function of price (a formula)
- Demand: seats vs. price
- Revenue = price × seats
- Costs = fixed + per seat

Financial considerations
- Ticket and ancillary revenue streams
- Fixed vs. variable costs

Customer segmentation & needs
- Price sensitivity by traveler type
- Business vs. leisure

Competitive landscape
- Competitor fares and frequency

Pricing math needs a formula, not buckets. The buckets help afterwards, for the sanity check against competitors and the empty seats.

3 Revenue streams PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The list is the casebook's additional information; asking for it is added.

SAY

"Before the math: what revenue streams does an airline have on a flight like this?"

HOW TO STEER

- After they list them, say: "Good. To set the ticket price, we'll focus on the ticket itself."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Ticket price
- [ ] At least 3 other streams

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Ticket price
- [ ] Extra luggage charge
- [ ] Amenities (food, Wi-Fi, seat selection)
- [ ] Advertising
- [ ] Companion fee for minor travelers
- [ ] Pet extra fee

ASK IF THEIR ANSWER IS THIN

- "What do passengers pay for besides the ticket?"
- "Who else, besides passengers, might pay the airline?"

ANSWER KEY, DON'T SHOW

Casebook list: ticket price, extra luggage charge, amenities, advertising, companion fee for minor travelers, pet extra fee.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Think about the last time you flew. What did you pay for besides the ticket?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Ticket first
2. Ancillaries
3. Say what you'll focus on

Phrases to listen for: "Besides the ticket itself, an airline earns from..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Besides the ticket itself**, an airline earns from extra luggage charges, amenities like meals, Wi-Fi and seat selection, advertising on board, a companion fee for minors traveling alone, and pet fees. **For the ticket price question, I'll focus on the ticket**, and keep the rest as upside.

4 Costs PARTLY ADDED 2–3 min

Beyond the AUBCC casebook: The list is the casebook's additional information; asking for it is added.

SAY

"And what costs does the airline have for this flight?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] At least 5 cost types
- [ ] Fuel and crew are mentioned

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] COGS (food and drinks served)
- [ ] Labor (pilots, crew)
- [ ] Maintenance
- [ ] Marketing
- [ ] Airport fees and taxes
- [ ] Fuel
- [ ] Insurance

ASK IF THEIR ANSWER IS THIN

- "What does it cost just to get the plane in the air?"
- "What do they pay the airports?"

ANSWER KEY, DON'T SHOW

Casebook list: COGS, labor, maintenance, marketing, airport fees and taxes, fuel, insurance.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Who needs to be paid for the plane to fly?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. List 6–7 costs
2. Group them if you can (flying, people, overhead)

Phrases to listen for: "The main costs are..."

EXAMPLE ANSWER, SAID OUT LOUD

> The main costs are fuel, labor for pilots and crew, maintenance, airport fees and taxes, insurance, marketing, and the cost of food and drinks served on board.

5 Fixed vs. variable PARTLY ADDED

2 min

Beyond the AUBCC casebook: $10,000 fixed and $500/seat are the casebook's; the classification question is added.

SAY

"Which of those costs are fixed for the flight, and which grow with each passenger?"

GIVE ONLY WHEN: AFTER THEY CLASSIFY THE COSTS.

Exhibit 1. Costs per flight

- Fixed: **$10,000**
- Variable: **$500 per seat sold**

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Mostly fixed per flight: crew, maintenance, marketing, insurance, most fuel, landing fees
- [ ] Per passenger: meals (COGS), passenger taxes and fees, some fuel (weight)
- [ ] Writes Costs = 10,000 + 500 × Seats

IF THEY SAY… YOU SAY

Says fuel is fully variable	"Does the plane burn much less fuel if it's half empty?"

ANSWER KEY, DON'T SHOW

Costs = **$10,000 + $500 × seats sold**.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Which are fixed per flight
2. Which grow per passenger
3. Write the cost formula

Phrases to listen for: "So costs equal $10,000 plus $500 times seats sold."

EXAMPLE ANSWER, SAID OUT LOUD

> **Most of these are fixed per flight**: crew, maintenance, marketing, insurance, landing fees and most of the fuel. **A few grow with each passenger**: meals, passenger taxes, and a little extra fuel for the weight. **So costs equal $10,000 plus $500 times seats sold.**

6 Demand curve

3–4 min

SAY

"Here's what our market research says about demand. What's the relationship between price and seats sold?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 2. Market research

- If **200** seats are taken → ticket price **$1,000**
- If **100** seats are taken → ticket price **$2,000**
- Assume a linear relationship

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Assumes $S = a \times P + b$
- [ ] $a = \Delta S \div \Delta P = (200 - 100) \div (1{,}000 - 2{,}000) = -0.1$
- [ ] $b = 300$ (from $200 = -0.1 \times 1{,}000 + b$)
- [ ] $S = -0.1P + 300$, and checks it

ANSWER KEY, DON'T SHOW

```
a = (200 − 100) ÷ (1000 − 2000) = −0.1
200 = −0.1 × 1000 + b → b = 300
S = −0.1 × P + 300
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many seats do you lose for every $1,000 increase?"
2. "Try seats = a × price + b."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Assume a straight line
2. Slope from the two points
3. Intercept
4. Check with the other point

Phrases to listen for: "So seats equal minus 0.1 times price, plus 300."

EXAMPLE ANSWER, SAID OUT LOUD

> Going from $1,000 to $2,000 loses 100 seats, so the slope is minus 0.1. Plugging in 200 seats at $1,000 gives an intercept of 300. **So seats equal minus 0.1 times price, plus 300.** Checking: at $2,000, that's 100. ✓

7 Profit formula

3 min

SAY

"Now write the flight's profit as a function of the price."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue = S × P = $-0.1P^2 + 300P$
- [ ] Costs = 10,000 + 500 × (−0.1P + 300) = 160,000 − 50P
- [ ] Profit = $-0.1P^2 + 350P - 160{,}000$

IF THEY SAY... YOU SAY

Costs = 10,000 + 500 × 300	"Do we pay $500 for every seat, or only for seats sold?"

ANSWER KEY, DON'T SHOW

```
Revenues: S × P = −0.1P² + 300P
Costs: 10,000 + 500 × (−0.1P + 300) = 160,000 − 50P
Profit: −0.1P² + 350P − 160,000
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Write revenue using price only, by replacing S."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Revenue in terms of P
2. Costs in terms of P
3. Profit = revenue − costs

Phrases to listen for: "So profit is minus 0.1P squared plus 350P minus 160,000."

EXAMPLE ANSWER, SAID OUT LOUD

> Revenue is P times (300 minus 0.1P), which is **minus 0.1P squared plus 300P**. Costs are 10,000 plus 500 times (300 minus 0.1P), which is **160,000 minus 50P**. **So profit is minus 0.1P squared plus 350P minus 160,000.**

8 Best price

3 min

SAY

"What price maximizes profit?"

HOW TO STEER

- Casebook: take the derivative of the profit expression and set it to zero. If the candidate doesn't use calculus, testing a few prices ($1,500 / $1,750 / $2,000) to find the peak is also fine.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] dProfit/dP = −0.2P + 350 = 0
- [ ] P = 350 ÷ 0.2 = $1,750
- [ ] At $1,750: 125 seats, profit ≈ $146k

ANSWER KEY, DON'T SHOW

```
dProfit/dP = −0.2P + 350 = 0 → P = $1,750
Seats = −0.1 × 1,750 + 300 = 125
Profit = 218,750 − 72,500 = $146,250
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Profit rises then falls. Where's the top?"
2. "You could test a few prices around $1,500–2,000."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Set the derivative to zero (or test prices)
2. Solve for P
3. Seats and profit at that price

Phrases to listen for: "Profit peaks where its derivative is zero."

EXAMPLE ANSWER, SAID OUT LOUD

> Profit peaks where its derivative is zero: minus 0.2P plus 350 equals zero, so **P equals $1,750**. That sells 125 seats, for about **$146,000 of profit per flight**.

9 Sanity check ADDED

3 min

Beyond the AUBCC casebook: Competitor fares are new.

SAY

"Here's what the two competitors charge. Does $1,750 still make sense?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 3. Competitor fares, Dubai–Paris economy

Airline	Average fare	Flights per day
Competitor A	$1,450	3
Competitor B	$1,600	2

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] We'd be the most expensive with the fewest flights: risky
- [ ] The research demand curve may not hold once customers compare prices
- [ ] Only 125 of 300 seats filled (42%), very low for an airline
- [ ] Suggests validating demand, or a reason to pay more (service, schedule)

ANSWER KEY, DON'T SHOW

The math is right but the result is fragile. A strong candidate doesn't just defend the formula.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How full is the plane at $1,750?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Verdict
2. Compare with competitors
3. Load factor
4. Conclude: right but fragile

Phrases to listen for: "The math is right, but the result is fragile."

EXAMPLE ANSWER, SAID OUT LOUD

> **It makes me cautious.** We'd be the most expensive airline on the route with the fewest flights, and once customers compare fares our demand might be lower than the research suggests. **And we'd fill only 125 of 300 seats, 42%**, very low for an airline. **So the math is right, but the result is fragile.**

10 The empty seats ADDED

3 min

Beyond the AUBCC casebook: The tour-operator offer is new.

SAY

"175 seats fly empty. Could they earn from them without lowering the main fare? For example, a tour operator offers to buy 75 seats at $900 each, on dates it picks. What's that worth per flight?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 75 × ($900 − $500) = $30,000 more profit
- [ ] Risk: full-fare customers switching to cheap seats; manage with restrictions (no refunds, fixed dates, early booking)
- [ ] Links back to the other revenue streams: luggage, amenities, companion and pet fees

ANSWER KEY, DON'T SHOW

`75 × (900 − 500) = $30,000 per flight`

This is how airlines really price: several fare classes with restrictions, plus extra fees.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Size the offer
2. Name the risk (cannibalization)
3. How to manage it

Phrases to listen for: "The risk is cannibalization."

EXAMPLE ANSWER, SAID OUT LOUD

> **Yes.** 75 seats at $900, with a $500 cost each, is **$30,000 more profit per flight**. **The risk is cannibalization**, so I'd add restrictions: group bookings only, fixed dates, no refunds. And the other revenue streams, like luggage, amenities and companion fees, add more on every seat we fill.

11 Recommendation ADDED

1–2 min

SAY

"What do you tell the airline?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: a $1,750 headline fare, plus restricted discount fares to fill seats
- [ ] Reasons: maximizes single-fare profit (~$146k), the discount tier adds ~$30k, extra fees add more
- [ ] Risks: priced above competitors, low load factor
- [ ] Next steps: test demand at launch, design fare rules to prevent cannibalization

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: the price plus discount fares
2. Numbers
3. Risk

4. Next steps

Phrases to listen for: "I recommend a $1,750 headline fare, plus restricted discount fares."

EXAMPLE ANSWER, SAID OUT LOUD

> **I recommend a $1,750 headline fare, plus restricted discount fares to fill empty seats.** The headline fare maximizes single-price profit at about $146,000 per flight; a group fare adds about $30,000, and extra fees add more. **The main risk** is that we're priced above both competitors with a low load factor. **Next steps:** test demand at launch, and design fare rules that prevent cannibalization.

▼ Show the full sample interview

INTERVIEWER

"Our client is an airline company based in Dubai. They want to prepare a flight from Dubai to Paris on a 300-seat aircraft."

"They want us to find the price per ticket that maximizes profit."

> CANDIDATE
>
> **To make sure I understand**: our client, a Dubai airline, is preparing a Dubai–Paris flight on a 300-seat plane and **wants the ticket price that maximizes profit**. Questions: is it a single cabin class? Do we know how demand changes with price? And what does a flight cost?

INTERVIEWER · APPROACH

"How do you want to tackle this?"

> CANDIDATE
>
> **This is a pricing problem, so I'll express profit as a function of the ticket price.** Revenue is price times seats sold, and seats depend on price, so I need a demand relationship. Costs are fixed plus variable per passenger. **Then I'll find the price where profit peaks**, and sanity-check it. **Does that sound good?**

INTERVIEWER · REVENUE STREAMS

"Before the math: what revenue streams does an airline have on a flight like this?"

> CANDIDATE
>
> **Besides the ticket itself**, an airline earns from extra luggage charges, amenities like meals, Wi-Fi and seat selection, advertising on board, a companion fee for minors traveling alone, and pet fees. **For the ticket price question, I'll focus on the ticket**, and keep the rest as upside.

INTERVIEWER · COSTS

"And what costs does the airline have for this flight?"

CANDIDATE

The main costs are fuel, labor for pilots and crew, maintenance, airport fees and taxes, insurance, marketing, and the cost of food and drinks served on board.

INTERVIEWER · FIXED VS. VARIABLE

"Which of those costs are fixed for the flight, and which grow with each passenger?"

Exhibit 1. Costs per flight

- Fixed: **$10,000**
- Variable: **$500 per seat sold**

CANDIDATE

Most of these are fixed per flight: crew, maintenance, marketing, insurance, landing fees and most of the fuel. **A few grow with each passenger**: meals, passenger taxes, and a little extra fuel for the weight. **So costs equal $10,000 plus $500 times seats sold.**

INTERVIEWER · DEMAND CURVE

"Here's what our market research says about demand. What's the relationship between price and seats sold?"

Exhibit 2. Market research

- If **200** seats are taken → ticket price **$1,000**
- If **100** seats are taken → ticket price **$2,000**
- Assume a linear relationship

CANDIDATE

Going from $1,000 to $2,000 loses 100 seats, so the slope is minus 0.1. Plugging in 200 seats at $1,000 gives an intercept of 300. **So seats equal minus 0.1 times price, plus 300.** Checking: at $2,000, that's 100. ✓

INTERVIEWER · PROFIT FORMULA

"Now write the flight's profit as a function of the price."

CANDIDATE

Revenue is P times (300 minus 0.1P), which is **minus 0.1P squared plus 300P**. Costs are 10,000 plus 500 times (300 minus 0.1P), which is **160,000 minus 50P**. **So profit is minus 0.1P squared plus 350P minus 160,000.**

INTERVIEWER · BEST PRICE

"What price maximizes profit?"

CANDIDATE

Profit peaks where its derivative is zero: minus 0.2P plus 350 equals zero, so **P equals $1,750**. That sells 125 seats, for about **$146,000 of profit per flight**.

INTERVIEWER · SANITY CHECK

"Here's what the two competitors charge. Does $1,750 still make sense?"

Exhibit 3. Competitor fares, Dubai–Paris economy

Airline	Average fare	Flights per day
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CANDIDATE

It makes me cautious. We'd be the most expensive airline on the route with the fewest flights, and once customers compare fares our demand might be lower than the research suggests. **And we'd fill only 125 of 300 seats, 42%**, very low for an airline. **So the math is right, but the result is fragile.**

INTERVIEWER · THE EMPTY SEATS

"175 seats fly empty. Could they earn from them without lowering the main fare? For example, a tour operator offers to buy 75 seats at $900 each, on dates it picks. What's that worth per flight?"

CANDIDATE

Yes. 75 seats at $900, with a $500 cost each, is **$30,000 more profit per flight**. **The risk is cannibalization**, so I'd add restrictions: group bookings only, fixed dates, no refunds. And the other revenue streams, like luggage, amenities and companion fees, add more on every seat we fill.

INTERVIEWER · RECOMMENDATION

"What do you tell the airline?"

CANDIDATE

I recommend a $1,750 headline fare, plus restricted discount fares to fill empty seats. The headline fare maximizes single-price profit at about $146,000 per flight; a group fare adds about $30,000, and extra fees add more. **The main risk** is that we're priced above both competitors with a low load factor. **Next steps:** test demand at launch, and design fare rules that prevent cannibalization.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 7 OF 10

Energy Consumption

Discussion | Hard | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A Gulf energy ministry wants a program to reduce national energy use. The candidate structures it by sector, brainstorms ways to cut consumption in homes and businesses, industry and transport, sizes one lever with data, and handles the politics of raising prices.

THE ANSWER IN ONE LINE, DON'T SHOW

Casebook framework: **sectors / consumption reduction / feasibility / profitability** (the last two are skipped). Ideas per sector come from the casebook. Added: homes are 40% of use and AC is 70% of that; one AC program saves only **~2.5%**, so they need a **package** (pricing, efficiency, regulation, transport).

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The 10% target, 5% growth and subsidies are added.

SAY

"The ministry of energy of a GCC country has hired you to design a program to reduce the overall energy consumption of the country. They'd like a 10% cut within five years; consumption has grown about 5% a year, and electricity and fuel are heavily subsidized."

"How do you approach the problem?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Is 10% against today's level? ADDED	"Yes, 10% below today's consumption within five years."
How cheap is energy today? ADDED	"Electricity and fuel are heavily subsidized, among the cheapest in the world."
Any constraints? ADDED	"Sharp price increases are politically sensitive."
Do we have data by sector? ADDED	"Yes. Ask when you need it."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Pins down the target (10% in 5 years)
- [ ] Spots that subsidies drive overuse
- [ ] Asks about political constraints

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me recap**: the Ministry of Energy wants a program to **reduce the country's overall energy consumption**, ideally by 10% within five years. Consumption is growing about 5% a year and energy is heavily subsidized. Questions: is the 10% against today's level? Are there political constraints? And do we have data by sector?

2 Framework

3 min

SAY

"How would you structure the program?"

HOW TO STEER

- Casebook: the candidate should target four buckets: major consumption sectors, consumption reduction, feasibility analysis, profitability analysis.
- After they present it, say: "In the interest of time, we won't explore feasibility and profitability. Let's focus on ways to reduce energy use in each sector."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Major consumption sectors: residential, commercial and entertainment, industrial, transportation
- [ ] Consumption reduction: levers for each sector
- [ ] Feasibility: engineering, expertise, available technology
- [ ] Profitability: cost-benefit, incl. non-financial benefits (lower CO_2, cleaner air)

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Sectors: residential
- [ ] Sectors: commercial and entertainment
- [ ] Sectors: industrial
- [ ] Sectors: transportation
- [ ] Consumption reduction for each sector
- [ ] Feasibility: engineering feasibility
- [ ] Feasibility: expertise
- [ ] Feasibility: available technology
- [ ] Profitability: cost-benefit analysis incl. CO_2 and cleaner air

ASK IF THEIR ANSWER IS THIN

- "Who uses energy in a country?"
- "Once you have ideas, how would you choose between them?"

ANSWER KEY, DON'T SHOW

Major consumption sectors (residential, commercial and entertainment, industrial, transportation) / **Consumption reduction** (levers per sector) / **Feasibility** (engineering, expertise, technology) / **Profitability** (cost-benefit, incl. CO_2 and cleaner air).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Who uses energy in a country?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Four buckets in order: sectors → reduction → feasibility → profitability
2. 1–2 sub-bullets each
3. Check in

Phrases to listen for: "I'd structure it in four buckets."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd structure it in four buckets.** One, **the major consumption sectors**: residential, commercial and entertainment, industrial, and transportation. Two, **consumption reduction**: ways to cut use in each sector. Three, **feasibility**: engineering, expertise and available technology. Four, **profitability**: a cost-benefit analysis, including non-financial benefits like lower CO_2 and cleaner air. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Consumption by sector (create your own)

- Residential, commercial, industrial, transport
- Biggest uses (home AC)

Ways to reduce, by lever (create your own)

- Price
- Efficiency and technology
- Regulation and behavior

Financial considerations

- Cost-benefit, incl. CO_2 and cleaner air
- Subsidy savings

Risks & mitigations

- Political acceptability of price rises
- Feasibility: engineering, expertise, technology

Close to the casebook's four buckets. The book's 'Risks & mitigations' names the political problem with raising prices explicitly.

3 Where the energy goes ADDED

3 min

Beyond the AUBCC casebook: Both exhibits are new.

SAY

"Before brainstorming, here's the breakdown. Where would you focus first?"

GIVE ONLY WHEN: WHEN THEY ASK FOR DATA, OR RIGHT AWAY.

Exhibit 1. Energy use by sector

Sector	Share
Residential	40%
Industrial	30%
Transportation	20%
Commercial and entertainment	10%

Exhibit 2. Residential use by purpose

Air conditioning	Appliances	Lighting	Other
70%	15%	10%	5%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Residential is the biggest sector
- [ ] Home air conditioning = 70% × 40% = 28% of national use
- [ ] Focuses there first

ANSWER KEY, DON'T SHOW

Home air conditioning alone is ~28% of national consumption: the biggest single target.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Biggest sector
2. Biggest use inside it
3. Multiply to national share
4. Where to start

Phrases to listen for: "So home AC alone is about 28% of national consumption."

EXAMPLE ANSWER, SAID OUT LOUD

> **Residential is the biggest sector at 40%**, and air conditioning is 70% of that. **So home AC alone is about 28% of national consumption**, the single biggest target. **I'd start there.**

4 Homes, offices and venues

3–4 min

SAY

"How would you reduce consumption in the residential, commercial and entertainment sectors?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Price: raise the cost per kWh
- [ ] Efficiency: discounts and free installation of efficient appliances
- [ ] Technology: sensors, fewer bulbs, consolidated cooling
- [ ] Groups ideas (price / technology / behavior)

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Increase the cost of electricity per kWh
- [ ] Free installation and discounts on energy-efficient home appliances
- [ ] Sensors so lights turn off when a room is empty
- [ ] Reduce the number of unnecessary light bulbs in buildings
- [ ] Consolidate the cooling systems in buildings

ASK IF THEIR ANSWER IS THIN

- "What makes people use less of anything?"
- "What technology could help without changing habits?"

ANSWER KEY, DON'T SHOW

Casebook list: raise price per kWh; free installation and discounts on efficient appliances; light sensors; fewer unnecessary bulbs; consolidated cooling systems.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say your lever types
2. 2–3 ideas per type

Phrases to listen for: "I'd use three types of levers: price, efficiency, smarter use."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd use three types of levers.** **Price**: raise the cost of electricity per kilowatt-hour. **Efficiency**: free installation and discounts on energy-efficient appliances, and consolidating cooling systems in buildings. **Smarter use**: sensors that switch lights off in empty rooms, and removing unnecessary bulbs.

5 Size one lever ADDED

3 min

SAY

"Let's size one idea. Suppose 30% of homes switch to efficient AC units that use 30% less energy. How much would national consumption fall?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 40% × 70% × 30% × 30% ≈ 2.5%
- [ ] Says clearly: one quarter of the 10% target
- [ ] Concludes they need several levers together

ANSWER KEY, DON'T SHOW

`0.40 × 0.70 × 0.30 × 0.30 = 2.52%`

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What share of national energy is home AC?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Chain the percentages
2. Result vs. the target
3. So what

Phrases to listen for: "So what: one ambitious program delivers only a quarter of the target."

EXAMPLE ANSWER, SAID OUT LOUD

> 40% times 70% times 30% of homes times 30% savings is **about 2.5% of national consumption**. **So what:** one ambitious program delivers only a quarter of the target. **We'll need a package of measures.**

6 Industrial sector

2–3 min

SAY

"What about the industrial sector?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Price and taxation on big consumers
- [ ] Efficient machines
- [ ] Operating hours
- [ ] R&D incentives

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Increase the cost of electricity per kWh
- [ ] Higher taxation and regulation on big consumers of energy
- [ ] Free installation and discounts on energy-efficient machines
- [ ] Reduce operating hours
- [ ] Incentives for companies with R&D departments that find ways to cut energy use

ASK IF THEIR ANSWER IS THIN

- "How could the government reward companies that save energy?"

ANSWER KEY, DON'T SHOW

Casebook list: raise price per kWh; tax and regulate big consumers; discounts on efficient machines; reduce operating hours; incentives for energy-saving R&D.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Price and regulation
2. Technology
3. Operations and incentives

Phrases to listen for: "For industry:..."

EXAMPLE ANSWER, SAID OUT LOUD

> For industry: raise the price per kilowatt-hour; apply higher taxes and regulation to the biggest consumers; offer free installation and discounts on efficient machines; reduce operating hours; and reward companies whose R&D finds ways to cut energy use.

7 Transportation sector

2–3 min

SAY

"And transportation?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Fuel and car prices
- [ ] License and toll costs
- [ ] Car-pooling and public transport
- [ ] Electric and hybrid charging

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Increase car fuel prices
- [ ] Increase the price of cars to encourage public transportation
- [ ] Increase the costs and taxes of driving licenses and car licenses
- [ ] Increase charges at toll stations
- [ ] Encourage car-pooling programs
- [ ] Install charging stations for hybrid and electric cars

ASK IF THEIR ANSWER IS THIN

- "How could you get people to drive less?"

ANSWER KEY, DON'T SHOW

Casebook list: raise fuel prices; raise car prices to push public transport; higher license costs and taxes; higher tolls; car-pooling; charging stations for hybrid/electric cars.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Price signals
2. Alternatives to driving
3. Cleaner vehicles

Phrases to listen for: "For transport:..."

EXAMPLE ANSWER, SAID OUT LOUD

> **For transport**: raise fuel prices; make cars more expensive to push public transport; raise driving and car license fees and taxes; increase toll charges; encourage car-pooling; and **install charging stations for hybrid and electric cars**.

8 The politics ADDED

3 min

SAY

"Many of your ideas raise prices, which is politically sensitive here. How would you handle that?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Gradual increases over several years
- [ ] Tiered pricing: cheap first block, higher prices for heavy users
- [ ] Support for low-income households
- [ ] Use subsidy savings to fund efficient-equipment rebates
- [ ] Clear public communication

ANSWER KEY, DON'T SHOW

A strong answer protects ordinary households while making heavy users pay more.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Principle: gradual and targeted
2. Tiered pricing
3. Protect low-income households
4. Recycle the savings

Phrases to listen for: "I'd make price changes gradual and targeted."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd make price changes gradual and targeted.** **Tiered pricing** keeps the first block of usage cheap, so ordinary households are protected, while heavy users pay more. Phase increases over several years, support low-income families directly, and **recycle the subsidy savings** into rebates for efficient appliances.

9 Recommendation ADDED

1–2 min

SAY

"The minister has one minute. What's your program?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: a package of measures, not one lever
- [ ] Priority 1: home AC (28% of use): efficiency standards and rebates
- [ ] Priority 2: gradual tiered pricing that protects low-income homes
- [ ] Priority 3: industry and transport measures from the brainstorm
- [ ] Next steps: feasibility and cost-benefit of each lever (the buckets we skipped); size the package to reach 10%; pilot

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: a package
2. Priorities, ranked by impact
3. Next steps

Phrases to listen for: "Minister, I recommend a package, not a single measure."

EXAMPLE ANSWER, SAID OUT LOUD

> **Minister, I recommend a package, not a single measure, because no single lever gets us to 10%.** **First**, target home air conditioning, 28% of all energy, with efficiency standards and rebates. **Second**, gradual tiered pricing that protects ordinary households. **Third**, the industry and transport measures. **Next steps:** test each lever's feasibility and cost-benefit, size the package to reach 10%, and pilot in one city.

▼ Show the full sample interview

INTERVIEWER

"The ministry of energy of a GCC country has hired you to design a program to reduce the overall energy consumption of the country. They'd like a 10% cut within five years; consumption has grown about 5% a year, and electricity and fuel are heavily subsidized."

"How do you approach the problem?"

CANDIDATE

Let me recap: the Ministry of Energy wants a program to **reduce the country's overall energy consumption**, ideally by 10% within five years. Consumption is growing about 5% a year and energy is heavily subsidized. Questions: is the 10% against today's level? Are there political constraints? And do we have data by sector?

INTERVIEWER · FRAMEWORK

"How would you structure the program?"

CANDIDATE

I'd structure it in four buckets. One, **the major consumption sectors**: residential, commercial and entertainment, industrial, and transportation. Two, **consumption reduction**: ways to cut use in each sector. Three, **feasibility**: engineering, expertise and available technology. Four, **profitability**: a cost-benefit analysis, including non-financial benefits like lower CO_2 and cleaner air. **Does that sound good?**

INTERVIEWER · WHERE THE ENERGY GOES

"Before brainstorming, here's the breakdown. Where would you focus first?"

Exhibit 1. Energy use by sector

Sector	Share
Residential	40%
Industrial	30%
Transportation	20%
Commercial and entertainment	10%

Exhibit 2. Residential use by purpose

Air conditioning	Appliances	Lighting	Other
70%	15%	10%	5%

CANDIDATE

Residential is the biggest sector at 40%, and air conditioning is 70% of that. **So home AC alone is about 28% of national consumption**, the single biggest target. **I'd start there.**

INTERVIEWER · HOMES, OFFICES AND VENUES

"How would you reduce consumption in the residential, commercial and entertainment sectors?"

CANDIDATE

I'd use three types of levers. **Price**: raise the cost of electricity per kilowatt-hour. **Efficiency**: free installation and discounts on energy-efficient appliances, and consolidating cooling systems in buildings. **Smarter use**: sensors that switch lights off in empty rooms, and removing unnecessary bulbs.

INTERVIEWER · SIZE ONE LEVER

"Let's size one idea. Suppose 30% of homes switch to efficient AC units that use 30% less energy. How much would national consumption fall?"

CANDIDATE

40% times 70% times 30% of homes times 30% savings is **about 2.5% of national consumption**. **So what:** one ambitious program delivers only a quarter of the target. **We'll need a package of measures.**

INTERVIEWER · INDUSTRIAL SECTOR

"What about the industrial sector?"

CANDIDATE

For industry: raise the price per kilowatt-hour; apply higher taxes and regulation to the biggest consumers; offer free installation and discounts on efficient machines; reduce operating hours; and **reward companies whose R&D finds ways to cut energy use**.

INTERVIEWER · TRANSPORTATION SECTOR

"And transportation?"

CANDIDATE

For transport: raise fuel prices; make cars more expensive to push public transport; raise driving and car license fees and taxes; increase toll charges; encourage car-pooling; and **install charging stations for hybrid and electric cars**.

INTERVIEWER · THE POLITICS

"Many of your ideas raise prices, which is politically sensitive here. How would you handle that?"

CANDIDATE

I'd make price changes gradual and targeted. **Tiered pricing** keeps the first block of usage cheap, so ordinary households are protected, while heavy users pay more. Phase increases over several years, support low-income families directly, and **recycle the subsidy savings** into rebates for efficient appliances.

INTERVIEWER · RECOMMENDATION

"The minister has one minute. What's your program?"

CANDIDATE

Minister, I recommend a package, not a single measure, because no single lever gets us to 10%. **First**, target home air conditioning, 28% of all energy, with efficiency standards and rebates. **Second**, gradual tiered pricing that protects ordinary households. **Third**, the industry and transport measures. **Next steps:** test each lever's feasibility and cost-benefit, size the package to reach 10%, and pilot in one city.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 8 OF 10

KSA Retail Bank

Profitability | Hard | ~30 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A large Saudi bank's revenue has been falling for two years. The candidate finds which product category is shrinking, recognizes what the percentages can and can't tell us, then sizes a cross-selling plan between credit cards and personal loans.

THE ANSWER IN ONE LINE, DON'T SHOW

Category 1 (personal loans and cards) is the problem: its share fell **and** total revenue fell. Categories 2 and 3 are **undetermined** from shares alone. Fix: cross-sell to existing customers: **$5.25M** (cards to loan holders) + $18.75M = **$24M**. Added: with dollar totals, Category 1 lost $100M, mostly customers leaving for digital banks, so cross-selling covers only a quarter.

1 Read the prompt

2–3 min

SAY

"Our client is one of the largest retail banks in KSA. They have been facing a decline in revenues for the past two years."

"They have hired us to find the reason and provide them with a solution."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How does the bank make money?	"Revenue falls into three categories: (1) personal loans and credit cards, (2) car loans, (3) house loans. I'll give you the split."
How did competitors do? ADDED	"Traditional banks are roughly stable. A few new digital banks entered two years ago."
Any regulatory changes? ADDED	"Nothing significant."
What's the CEO's goal? ADDED	"Stop the decline and get revenue growing again."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks how the bank makes money (the 3 categories)
- [ ] Asks about competitors

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To recap**: our client is one of the largest retail banks in KSA, and **revenues have declined for two years**. We need to find the reason and a solution. Questions: how is revenue split across products? How have competitors done? And has anything changed in regulation?

2 Framework

3 min

SAY

"Here's how revenue splits across the three categories. How would you structure this?"

HOW TO STEER

- Casebook: in this case the numbers are given before the framework. Show the mix table now.
- The candidate should take an external-internal approach to be MECE.
- After they present it, say: "The problem is only internal."

GIVE ONLY WHEN: RIGHT AWAY, WITH THE QUESTION.

Exhibit 1. Revenue mix

	Cat. 1: Personal loans and credit cards	Cat. 2: Car loans	Cat. 3: House loans
2 years ago	55%	28%	17%
Now	50%	30%	20%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] External, economic: disposable income, interest rates, new regulations
- [ ] External, market: competitors facing the same issue? their services, market shares
- [ ] Internal: revenue streams, prices and fees, volume (customers), product mix

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Economic: decrease in customer disposable income
- [ ] Economic: change in interest rates
- [ ] Economic: new regulations in the financial sector
- [ ] Market: are competitors facing the same issue?
- [ ] Market: services offered by competitors
- [ ] Market: market share of client and leaders
- [ ] Internal: revenue streams (credit and debit cards, return on loans, money exchange fees)
- [ ] Internal: prices and fees: up or down?
- [ ] Internal: volume: more or fewer customers?
- [ ] Internal: product mix: % of revenue streams

ASK IF THEIR ANSWER IS THIN

- "Could something outside the bank explain this?"
- "Inside the bank, what could make revenue fall?"

ANSWER KEY, DON'T SHOW

External: economic (disposable income, interest rates, regulation) and market (competitors, their services, market shares). **Internal**: revenue streams, prices and fees, volume, product mix.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. External vs. internal
2. 2–3 sub-bullets each
3. Say what the data already hints
4. Check in

Phrases to listen for: "I'd take an external-internal approach."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd take an external-internal approach.** **Externally**: economic factors like lower disposable income, interest rates and new regulation; and market factors: are competitors facing the same issue, what do they offer, and how have market shares moved? **Internally**: our revenue streams, prices and fees, volume of customers, and product mix. **The mix table already hints that personal loans and cards are shrinking.** **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations

- Revenue by category (in $, not %)
- Volume vs. revenue per customer
- Prices and fees

Customer segmentation & needs

- Which customers are leaving, and why
- Retention vs. acquisition

Competitive landscape

- New digital banks
- Competitors' offers and fees

Market attractiveness

- Economy: disposable income, interest rates
- Regulation

The casebook's External / Internal covers the same ground. The book's Customer bucket points straight at churn, which turns out to be the root cause.

3 Which category?

3 min

SAY

"The problem is only internal. Which category is behind the decline? And what can you say about the other two?"

HOW TO STEER

- Casebook: the candidate should say Category 1, NOT ONLY because its share dropped 5 points BUT ALSO because the total revenue dropped.
- Then ask about Categories 2 and 3: the candidate should say it's undetermined whether they rose or fell, because their change is relative to a shrinking total.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Category 1: its share fell AND the total fell, so it certainly shrank in dollars
- [ ] Categories 2 and 3: undetermined; a bigger share of a smaller total could be up or down
- [ ] Asks for the actual dollar totals

IF THEY SAY... YOU SAY

"Car and house loans grew"	"They grew as a share. Did they grow in dollars?"

ANSWER KEY, DON'T SHOW

Category 1, for two reasons: its share fell and the total fell. Categories 2 and 3: **undetermined** from percentages alone.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "If the total shrank, did Category 1 shrink in dollars?"
2. "Car loans went from 28% to 30% of a smaller total. Did they grow?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the category and both reasons
2. Explain why the other two are undetermined
3. Ask for the dollar totals

Phrases to listen for: "Category 1, for two reasons:..." · "For categories 2 and 3, it's undetermined."

EXAMPLE ANSWER, SAID OUT LOUD

> **Category 1, personal loans and cards**, and for two reasons: **its share fell from 55% to 50%, and the total revenue fell too**, so it definitely shrank in dollars. **For categories 2 and 3, it's undetermined**: they're a bigger share of a smaller total, so in dollars they could have gone up or down. **I'd need the actual totals to tell.**

4 In dollars ADDED

2–3 min

Beyond the AUBCC casebook: The $1.0B and $900M totals are new.

SAY

"Good. The CFO just sent the totals: revenue went from $1.0 billion two years ago to $900 million now. What does each category look like in dollars?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Category 1: $550M → $450M (−$100M)
- [ ] Car loans: $280M → $270M (−$10M)
- [ ] House loans: $170M → $180M (+$10M)
- [ ] Category 1 explains the entire decline

ANSWER KEY, DON'T SHOW

```
Cat. 1: 550 → 450 = −$100M
Cat. 2: 280 → 270 = −$10M
Cat. 3: 170 → 180 = +$10M
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Convert each category
2. Change for each
3. Conclude

Phrases to listen for: "So Category 1 explains the entire decline."

EXAMPLE ANSWER, SAID OUT LOUD

> Category 1 went from 55% of $1 billion, $550 million, to 50% of $900 million, $450 million: **down $100 million**. Car loans went from $280 to $270 million, down $10 million, and house loans from $170 to $180 million, up $10 million. **So Category 1 explains the entire decline.**

5 Customers or price? ADDED

3 min

SAY

"Let's dig into Category 1. Is it fewer customers or less revenue per customer?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 2. Personal loans and credit cards

	2 years ago	Now
Customers	600,000	500,000
Revenue per customer	~$917	$900

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Lost 100k customers (−17%)
- [ ] Revenue per customer nearly flat (−2%)
- [ ] So it's a customer-loss problem, not pricing

ANSWER KEY, DON'T SHOW

The bank is losing customers. Next question: where are they going?

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Volume change
2. Revenue per customer change
3. Diagnosis

Phrases to listen for: "So this is a churn problem, not a pricing problem."

EXAMPLE ANSWER, SAID OUT LOUD

> **It's customers.** We lost 100,000, about 17%, while revenue per customer barely moved. **So this is a churn problem, not a pricing problem.** The next question is where they went.

6 Why are they leaving? ADDED

3 min

SAY

"The bank surveyed customers who closed their accounts. Before you read it, summarize where we are."

GIVE ONLY WHEN: AFTER THEY SUMMARIZE.

Exhibit 3. Why former customers left

Reason	Share
Moved to a digital bank (instant approval, better app)	50%
Lower card fees elsewhere	30%
Moved abroad, other	20%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Crisp summary: revenue −$100M, all in Category 1, driven by lost customers
- [ ] Digital experience is the main issue, fees second
- [ ] Links to the digital banks that entered two years ago

ANSWER KEY, DON'T SHOW

Mid-case summary example: "Revenue fell $100M, all from personal loans and cards, because we lost 100k customers, mostly to digital banks."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Summarize where we are in one sentence
2. Read the survey: biggest reason first
3. Root cause

Phrases to listen for: "To summarize where we are:..."

EXAMPLE ANSWER, SAID OUT LOUD

> **To summarize where we are**: revenue fell $100 million, all in personal loans and cards, because we lost 100,000 customers. **The survey explains why**: half moved to digital banks for instant approval and a better app, and 30% left over card fees. **So the root cause is our digital experience.**

7 Existing or new customers?

2 min

SAY

"How could the bank increase Category 1 revenue? Is it easier to sell more to existing customers or to acquire new ones?"

HOW TO STEER

- Casebook: two ways: sell more to existing customers, or acquire new ones. The candidate should say existing customers is easier: banks have high retention, and people with fixed deposits and loans can't move accounts easily.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Two ways: sell more to existing customers, or acquire new ones
- [ ] Existing is easier: high retention, deposits and loans tie customers to the bank

ANSWER KEY, DON'T SHOW

Selling more to **existing customers** is easier: high retention; fixed deposits and loans make switching hard.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name both options
2. Pick one, and give the reason

Phrases to listen for: "Existing customers are easier: banks have high retention."

EXAMPLE ANSWER, SAID OUT LOUD

> **There are two ways**: sell more to existing customers, or acquire new ones. **Existing customers are easier**: banks have high retention, and people with fixed deposits and loans can't move their accounts easily.

8 Cross-selling

2 min

SAY

"What are some ways to sell more to existing customers?"

HOW TO STEER

- Casebook: most importantly, cross-selling: credit cards to personal loan owners and vice versa.
- Then say: "Because of time, let's focus only on the extra revenue from selling credit cards to personal loan owners."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Cross-selling: credit cards to personal-loan customers, and loans to card holders
- [ ] Other ideas: bundles, loyalty rewards, pre-approved offers, upgrading card tiers

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Cross-sell credit cards to personal loan owners
- [ ] Cross-sell personal loans to credit card owners

ANSWER KEY, DON'T SHOW

Above all, **cross-selling** between credit cards and personal loans.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the main lever
2. Both directions
3. Other ideas

Phrases to listen for: "The main lever is cross-selling."

EXAMPLE ANSWER, SAID OUT LOUD

> The main lever is cross-selling: offering credit cards to customers who have personal loans, and personal loans to customers who have credit cards. Other ideas are bundles, loyalty rewards and pre-approved offers.

9 Size the cross-sell

5 min

SAY

"How much extra yearly revenue would come from selling credit cards to customers who only have a personal loan?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 4. Category 1 customers

- 500,000 customers: **30%** personal loans only, **50%** credit cards only, **20%** both
- Only **10%** of personal-loan-only customers are interested in credit cards
- On average, each customer spends **$20,000** per year
- On average, **5%** of customers default on credit card payments
- Credit card fees: **$250** annual fee; **10%** charge for customers who default

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 150k loan-only → 10% interested = 15,000
- [ ] Annual fee: 15,000 × $250 = $3.75M
- [ ] Default charge: 15,000 × 5% × $20,000 × 10% = $1.5M
- [ ] Total $5.25M

ANSWER KEY, DON'T SHOW

```
Loan-only: 30% × 500k = 150k → 10% = 15,000
Annual fee: 15,000 × 250 = $3.75M
Default fee: 15,000 × 0.05 × 20,000 × 0.1 = $1.5M
Total = $5.25M
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many customers have only a personal loan?"
2. "There are two fees. Do them one at a time."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Find the target customers
2. Fee 1
3. Fee 2
4. Total

Phrases to listen for: "Total: $5.25 million a year."

EXAMPLE ANSWER, SAID OUT LOUD

> 30% of 500,000 have only a loan, so 150,000, and 10% are interested in a card, so **15,000 new cardholders**. Annual fees: 15,000 times $250 is **$3.75 million**. Default charges: 5% of them default, times $20,000 of spending, times 10%, is **$1.5 million**. **Total: $5.25 million a year.**

10 Total upside PARTLY ADDED

2 min

Beyond the AUBCC casebook: $18.75M and $24M are the casebook's; the comparison with the $100M gap is added.

SAY

"Cross-selling the other way around, personal loans to card owners, generates $18.75 million. What's the total, and is it enough?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] $3.75M + $1.5M + $18.75M = $24M
- [ ] Compares with the $100M lost: about a quarter
- [ ] So the bank must also stop customers leaving

ANSWER KEY, DON'T SHOW

`3.75 + 1.5 + 18.75 = $24M (≈ 24% of the $100M lost)`

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Add both directions
2. Compare with the gap
3. So what

Phrases to listen for: "That's only about a quarter of what we lost."

EXAMPLE ANSWER, SAID OUT LOUD

> Adding the $18.75 million from the other direction, **cross-selling brings about $24 million a year**. **That's only about a quarter of the $100 million we lost**, so it helps, but we also need to stop customers leaving.

11 Recommendation PARTLY ADDED

1–2 min

Beyond the AUBCC casebook: Cross-selling and checking other categories are the casebook's; fixing digital churn is added.

SAY

"The CEO has two minutes. What do you recommend?"

HOW TO STEER

- Casebook: recommend going ahead with the cross-selling strategy, but also look more deeply into the other categories, as they might also be behind the decline.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: go ahead with cross-selling (~$24M a year)
- [ ] Also look deeper at Categories 2 and 3
- [ ] Fix the root cause: customers leaving for digital banks (app, instant approval, fees)
- [ ] Next steps: identify customers at risk of leaving

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: go ahead with cross-selling
2. Why it's not enough alone
3. Other actions
4. Next steps

Phrases to listen for: "I recommend going ahead with the cross-selling strategy."

EXAMPLE ANSWER, SAID OUT LOUD

> **I recommend going ahead with the cross-selling strategy, worth about $24 million a year.** Personal loans and cards are behind the decline, and selling more to existing customers is the easiest win. **But it won't close the $100 million gap alone**, so we should also fix why customers leave for digital banks, and **look more deeply at car and house loans**, which may also be contributing. **Next steps:** identify customers at risk of leaving.

▼ Show the full sample interview

INTERVIEWER

"Our client is one of the largest retail banks in KSA. They have been facing a decline in revenues for the past two years."

"They have hired us to find the reason and provide them with a solution."

CANDIDATE

> **To recap**: our client is one of the largest retail banks in KSA, and **revenues have declined for two years**. We need to find the reason and a solution. Questions: how is revenue split across products? How have competitors done? And has anything changed in regulation?

INTERVIEWER · FRAMEWORK

"Here's how revenue splits across the three categories. How would you structure this?"

Exhibit 1. Revenue mix

	Cat. 1: Personal loans and credit cards	Cat. 2: Car loans	Cat. 3: House loans
2 years ago	55%	28%	17%
Now	50%	30%	20%

CANDIDATE

> **I'd take an external-internal approach.** **Externally**: economic factors like lower disposable income, interest rates and new regulation; and market factors: are competitors facing the same issue, what do they offer, and how have market shares moved? **Internally**: our revenue streams, prices and fees, volume of customers, and product mix. **The mix table already hints that personal loans and cards are shrinking.** **Does that sound good?**

INTERVIEWER · WHICH CATEGORY?

"The problem is only internal. Which category is behind the decline? And what can you say about the other two?"

CANDIDATE

Category 1, personal loans and cards, and for two reasons: **its share fell from 55% to 50%, and the total revenue fell too**, so it definitely shrank in dollars. **For categories 2 and 3, it's undetermined**: they're a bigger share of a smaller total, so in dollars they could have gone up or down. **I'd need the actual totals to tell.**

INTERVIEWER · IN DOLLARS

"Good. The CFO just sent the totals: revenue went from $1.0 billion two years ago to $900 million now. What does each category look like in dollars?"

CANDIDATE

Category 1 went from 55% of $1 billion, $550 million, to 50% of $900 million, $450 million: **down $100 million**. Car loans went from $280 to $270 million, down $10 million, and house loans from $170 to $180 million, up $10 million. **So Category 1 explains the entire decline.**

INTERVIEWER · CUSTOMERS OR PRICE?

"Let's dig into Category 1. Is it fewer customers or less revenue per customer?"

Exhibit 2. Personal loans and credit cards

	2 years ago	Now
Customers	600,000	500,000
Revenue per customer	~$917	$900

CANDIDATE

It's customers. We lost 100,000, about 17%, while revenue per customer barely moved. **So this is a churn problem, not a pricing problem.** The next question is where they went.

INTERVIEWER · WHY ARE THEY LEAVING?

"The bank surveyed customers who closed their accounts. Before you read it, summarize where we are."

Exhibit 3. Why former customers left

Reason	Share
Moved to a digital bank (instant approval, better app)	50%
Lower card fees elsewhere	30%
Moved abroad, other	20%

CANDIDATE

To summarize where we are: revenue fell $100 million, all in personal loans and cards, because we lost 100,000 customers. **The survey explains why**: half moved to digital banks for instant approval and a better app, and 30% left over card fees. **So the root cause is our digital experience.**

INTERVIEWER · EXISTING OR NEW CUSTOMERS?

"How could the bank increase Category 1 revenue? Is it easier to sell more to existing customers or to acquire new ones?"

CANDIDATE

There are two ways: sell more to existing customers, or acquire new ones. **Existing customers are easier**: banks have high retention, and people with fixed deposits and loans can't move their accounts easily.

INTERVIEWER · CROSS-SELLING

"What are some ways to sell more to existing customers?"

CANDIDATE

The main lever is cross-selling: offering credit cards to customers who have personal loans, and personal loans to customers who have credit cards. Other ideas are bundles, loyalty rewards and pre-approved offers.

INTERVIEWER · SIZE THE CROSS-SELL

"How much extra yearly revenue would come from selling credit cards to customers who only have a personal loan?"

Exhibit 4. Category 1 customers

- 500,000 customers: **30%** personal loans only, **50%** credit cards only, **20%** both
- Only **10%** of personal-loan-only customers are interested in credit cards
- On average, each customer spends **$20,000** per year
- On average, **5%** of customers default on credit card payments
- Credit card fees: **$250** annual fee; **10%** charge for customers who default

CANDIDATE

30% of 500,000 have only a loan, so 150,000, and 10% are interested in a card, so **15,000 new cardholders**. Annual fees: 15,000 times $250 is **$3.75 million**. Default charges: 5% of them default, times $20,000 of spending, times 10%, is **$1.5 million**. **Total: $5.25 million a year.**

INTERVIEWER · TOTAL UPSIDE

"Cross-selling the other way around, personal loans to card owners, generates $18.75 million. What's the total, and is it enough?"

CANDIDATE

Adding the $18.75 million from the other direction, **cross-selling brings about $24 million a year**. **That's only about a quarter of the $100 million we lost**, so it helps, but we also need to stop customers leaving.

INTERVIEWER · RECOMMENDATION

"The CEO has two minutes. What do you recommend?"

CANDIDATE

I recommend going ahead with the cross-selling strategy, worth about $24 million a year. Personal loans and cards are behind the decline, and selling more to existing customers is the easiest win. **But it won't close the $100 million gap alone**, so we should also fix why customers leave for digital banks, and **look more deeply at car and house loans**, which may also be contributing. **Next steps:** identify customers at risk of leaving.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 9 OF 10

Lebanese Cryptocurrency

Market entry | Medium | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A Lebanese startup wants to launch its own cryptocurrency. The candidate sizes how many people could use it, how many transactions they'd make and the profit, explains why margins are thin, and judges payback and risks.

THE ANSWER IN ONE LINE, DON'T SHOW

~240k users (40% of 600k crypto users), **624k transactions a week**, revenue ~$612k and **profit ~$61,200 a week** at a 10% margin. Thin margin: setup, validation and customer acquisition costs. Added: $5M back in ~1.6 years, but that needs ~126k users.

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the AUBCC casebook: The banking-crisis context is added.

SAY

"Our client is a startup that wants to create a cryptocurrency to be used in Lebanon. Since the banking crisis, many Lebanese have lost trust in banks."

"They have hired you to find out whether this is a good idea."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Does the client have the skills and funding?	"Yes, they have the necessary expertise and are financially capable."
Who are the competitors?	"One major competitor: Bitcoin, which controls 60% of the market. The other 40% is untapped."
What does success look like? ADDED	"They want to recover their $5 million initial investment within three years."
Is it legal? ADDED	"The central bank hasn't banned it, but there are no clear rules either."
How does the coin make money?	"Transaction fees. I'll give you details."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks about the client's capabilities
- [ ] Asks about competitors (Bitcoin 60%)
- [ ] Asks how the coin makes money

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me play that back**: our client is a startup that wants to create a cryptocurrency for use in Lebanon, where trust in banks is low. **The question is whether it's a good idea.** A few questions: does the client have the expertise and funding? Who are the competitors? And what does success look like for them?

2 Framework

2–3 min

SAY

"What's your framework?"

HOW TO STEER

- Casebook: the candidate should target three buckets: client, market, profitability.
- After they present it, say: "The client has the expertise and is financially capable. There's one main competitor, Bitcoin, with 60% of the market and an untapped 40%. Let's estimate the crypto market size in Lebanon."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Client: experience and expertise in crypto; financial capability
- [ ] Market: size of crypto in Lebanon; competitors and shares; barriers (legislation, regulation, distribution)
- [ ] Profitability: revenue streams (fixed fees, commissions), prices, volume; costs (initial investment, fixed and variable)

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Client: previous experience and expertise in crypto
- [ ] Client: financial capability to back the idea
- [ ] Market: size of crypto in Lebanon
- [ ] Market: competitors and their market shares
- [ ] Market: barriers (legislation, regulations, access to distribution)
- [ ] Profitability: revenue streams (fixed fees, transaction commissions)
- [ ] Profitability: prices and fees
- [ ] Profitability: volume (expected customers)
- [ ] Costs: initial investment
- [ ] Costs: operating expenditures, fixed and variable

ASK IF THEIR ANSWER IS THIN

- "What could stop a new coin from being allowed or adopted?"
- "How exactly would the coin earn money?"

ANSWER KEY, DON'T SHOW

Client (expertise, finances) / **Market** (size, competitors and shares, barriers: legislation, regulation, distribution) / **Profitability** (revenues: fees, commissions, prices, volume; costs: initial investment, opex).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Client, market, profitability
2. 2–3 sub-bullets each
3. Check in

Phrases to listen for: "I'd look at three areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at three areas.** **The client**: crypto expertise and the financial capability to back the idea. **The market**: the size of crypto in Lebanon, competitors and their shares, and barriers like legislation, regulation and access to distribution. **Profitability**: revenue from fixed fees and transaction commissions, prices and expected volume; and costs: the initial investment and operating expenses. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness

- Crypto users in Lebanon
- Why Lebanese use crypto (bank distrust)

Customer segmentation & needs

- Age and income segments
- Tech literacy, risk appetite

Competitive landscape

- Bitcoin's 60%
- Switching costs

Financial considerations & risks

- Fees × transactions, 10% margin, payback
- Regulation, volatility

The casebook uses Client / Market / Profitability. The book's Customer segmentation bucket is what the case actually uses (age, then income), and Risks covers the unclear regulation.

3 Key factors

2 min

SAY

"Before you size the market: what determines whether someone in Lebanon would use crypto?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Age
- [ ] Income
- [ ] Risk appetite
- [ ] Tech literacy
- [ ] Ability to trade
- [ ] Knowledge of crypto

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Age
- [ ] Income
- [ ] Risk appetite
- [ ] Tech literacy
- [ ] Ability to trade
- [ ] Knowledge of crypto

ASK IF THEIR ANSWER IS THIN

- "Who's more likely to use crypto: a 25-year-old or a 70-year-old? Why?"

ANSWER KEY, DON'T SHOW

Casebook key factors: age, income, risk appetite, tech literacy, ability to trade, knowledge of crypto. We'll segment by age, then by income.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. List the factors
2. Say which you'll segment by and why

Phrases to listen for: "I'd segment by age first, then by income."

EXAMPLE ANSWER, SAID OUT LOUD

> **Whether someone uses crypto depends on** their age, income, risk appetite, tech literacy, ability to trade, and knowledge of crypto. **I'd segment by age first, then by income**, since those are the easiest to estimate.

4 How many users?

4 min

SAY

"Let's size it. How many people could use the coin?"

GIVE ONLY WHEN: WHEN THEY ASK ABOUT POPULATION OR ADOPTION, OR IF THEIR ESTIMATES ARE FAR OFF.

Exhibit 1. Lebanon: ~**6 million** people, spread evenly from age 0 to 80

Age group	0–20	21–40	41–60	61–80
Share into crypto	10%	25%	5%	0%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 1.5M per age group
- [ ] 150k + 375k + 75k + 0 = 600k into crypto
- [ ] × 40% untapped = 240k: the maximum available market

ANSWER KEY, DON'T SHOW

```
1.5M × (10% + 25% + 5% + 0%) = 600k into crypto
600k × 40% = 240k maximum available market
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many people are in each age group?"
2. "Bitcoin has 60%. What's left?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Per age group
2. Total crypto users
3. Apply the untapped share
4. Call it a ceiling

Phrases to listen for: "That's our maximum available market."

EXAMPLE ANSWER, SAID OUT LOUD

> Six million people in four age groups is 1.5 million each. 10% of the youngest is 150,000; 25% of 21 to 40 is 375,000; 5% of 41 to 60 is 75,000; and none over 60. **That's 600,000 crypto users.** Bitcoin has 60%, so the untapped 40% is about **240,000 people. That's our maximum available market.**

5 Transactions

3 min

SAY

"How many transactions per week would those users make?"

GIVE ONLY WHEN: WHEN THEY ASK ABOUT USAGE OR INCOME.

Exhibit 2. Income-based distribution of the population

Income level	Share	Transactions per week
High	10%	7
Medium	50%	3
Low	40%	1

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] High: 240k × 10% × 7 = 168k
- [ ] Medium: 240k × 50% × 3 = 360k
- [ ] Low: 240k × 40% × 1 = 96k
- [ ] Total 624k a week

ANSWER KEY, DON'T SHOW

`168k + 360k + 96k = 624k transactions per week`

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Per income group
2. Total per week

Phrases to listen for: "About 624,000 transactions a week."

EXAMPLE ANSWER, SAID OUT LOUD

> High income: 24,000 people at 7 a week, 168,000. Middle: 120,000 at 3, 360,000. Low: 96,000 at 1, 96,000. **About 624,000 transactions a week.**

6 Profit

4 min

SAY

"Here's how the coin charges. What's the expected profit per week?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 3. Fees

- A fixed added charge of **$0.50** on all transactions
- Plus a commission by transaction size:

Transaction size	Commission	Share of transaction volume
$0–10k	$0.60	50%
$10k–100k	$0.40	40%
> $100k	$0.20	10%

Profit margin: **10%**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Fixed charge: $0.50 × 624k = $312k
- [ ] Commission: (0.5×0.6 + 0.4×0.4 + 0.1×0.2) × 624k ≈ $300k
- [ ] Revenue ≈ $612k a week
- [ ] Profit = 10% ≈ $61,200 a week

ANSWER KEY, DON'T SHOW

```
$0.50 × 624k = $312k
$0.48 × 624k ≈ $300k
Revenue ≈ $612k → × 10% = $61,200 expected profit per week
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Fixed-charge revenue
2. Weighted-average commission
3. Total revenue × margin

Phrases to listen for: "The average commission is..., so..."

EXAMPLE ANSWER, SAID OUT LOUD

> The fixed charge is 50 cents times 624,000, **$312,000**. The average commission is half at 60 cents, 40% at 40 cents and 10% at 20 cents, so **48 cents**, about **$300,000**. Revenue is about $612,000 a week, and at a 10% margin, **profit is about $61,000 a week**.

7 Why only 10%?

2–3 min

SAY

"Why do you think the profit margin is only 10% and not more?"

HOW TO STEER

- Casebook: the candidate should realize they're being asked why the costs are so high.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Realizes the question is really about high costs
- [ ] High initial investment: licenses and approvals, a location for the equipment, servers, cooling
- [ ] High cost to validate transactions on the blockchain
- [ ] High customer acquisition cost vs. Bitcoin

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Licenses and approvals
- [ ] A location to host the equipment
- [ ] Servers
- [ ] High cooling expenses (CPUs constantly mining)
- [ ] High cost to validate transactions on the blockchain
- [ ] Customer acquisition cost to win users from established coins like Bitcoin

ASK IF THEIR ANSWER IS THIN

- "What does it cost to run a cryptocurrency?"
- "How expensive is it to win a user away from Bitcoin?"

ANSWER KEY, DON'T SHOW

Costs are high: initial investment (licenses, location, servers, cooling), blockchain validation costs, and customer acquisition against Bitcoin.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Reframe: why are costs high?
2. Setup costs
3. Running costs
4. Acquisition costs

Phrases to listen for: "The real question is why costs are so high."

EXAMPLE ANSWER, SAID OUT LOUD

> **The real question is why costs are so high.** First, a heavy **initial investment**: licenses and approvals, a site for the equipment, servers, and cooling for machines that run constantly. Second, the **cost of validating transactions** on the blockchain. Third, a high **customer acquisition cost** to win users away from Bitcoin.

8 Payback PARTLY ADDED

2 min

Beyond the AUBCC casebook: The casebook says to compare the investment with yearly profit; the $5M and 3-year goal are added.

SAY

"The client's initial investment is $5 million and they want it back within three years. Do they get there?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] $61.2k × 52 ≈ $3.2M a year
- [ ] $5M ÷ $3.2M ≈ 1.6 years: within 3

ANSWER KEY, DON'T SHOW

`61.2k × 52 ≈ $3.18M a year → 5 ÷ 3.18 ≈ 1.6 years`

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Annualize
2. Investment ÷ profit
3. Compare with the goal

Phrases to listen for: "Well within their three-year goal, if we win those users."

EXAMPLE ANSWER, SAID OUT LOUD

> $61,000 a week times 52 is about **$3.2 million a year**. $5 million divided by $3.2 million is **about 1.6 years: well within their three-year goal**, if we win those users.

9 Stress test ADDED

3 min

SAY

"That assumes we win all 240,000 users. How many users do we actually need to hit the three-year goal?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit per user ≈ $3.18M ÷ 240k ≈ $13 a year
- [ ] Need ~$1.67M a year → ~126k users
- [ ] Over half the untapped market: ambitious for a new coin
- [ ] Notes new competitors would shrink the 40%

ANSWER KEY, DON'T SHOW

```
$5M ÷ 3 ≈ $1.67M a year
$1.67M ÷ ~$13.3 per user ≈ 126k users (~52% of 240k)
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profit per user
2. Users needed
3. Compare with the market

Phrases to listen for: "That's the key risk."

EXAMPLE ANSWER, SAID OUT LOUD

> **That's the key risk.** Profit per user is about $13 a year. To recover $5 million in three years we need about $1.7 million a year, so **about 126,000 users, more than half the market Bitcoin doesn't hold**. And any new competitor would shrink that 40%.

10 Recommendation PARTLY ADDED

1–2 min

Beyond the AUBCC casebook: The casebook's caveats are kept; the 126k-user threshold is added.

SAY

"So, is this a good idea?"

HOW TO STEER

- Casebook: it seems profitable, but any other competitor entering will decrease the 40% share we assumed. Compare the initial investment to yearly profit for payback, and look at ways to cut costs and raise the margin.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: looks profitable (~$61k a week, ~$3.2M a year)
- [ ] Risk: new competitors would shrink our 40%; we need ~126k users
- [ ] Compare investment with profit: ~1.6-year payback in the best case
- [ ] Work on costs to raise the 10% margin
- [ ] Next steps: pilot, engage the central bank on rules

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: launch, carefully
2. Upside with numbers
3. Main risks
4. Next steps

Phrases to listen for: "It looks like a profitable idea, so I'd recommend launching, carefully."

EXAMPLE ANSWER, SAID OUT LOUD

> **It looks like a profitable idea, so I'd recommend launching, carefully.** At full potential it makes about $61,000 a week and pays back the $5 million in under two years. **But** any new competitor would shrink the 40% we assumed, and we need about 126,000 users to hit the three-year goal. **Next steps:** pilot to test adoption, work on costs to lift the 10% margin, and engage the central bank on the rules.

▼ Show the full sample interview

INTERVIEWER

"Our client is a startup that wants to create a cryptocurrency to be used in Lebanon. Since the banking crisis, many Lebanese have lost trust in banks."

"They have hired you to find out whether this is a good idea."

> CANDIDATE
>
> **Let me play that back**: our client is a startup that wants to create a cryptocurrency for use in Lebanon, where trust in banks is low. **The question is whether it's a good idea.** A few questions: does the client have the expertise and funding? Who are the competitors? And what does success look like for them?

INTERVIEWER · FRAMEWORK

"What's your framework?"

CANDIDATE

I'd look at three areas. **The client**: crypto expertise and the financial capability to back the idea. **The market**: the size of crypto in Lebanon, competitors and their shares, and barriers like legislation, regulation and access to distribution. **Profitability**: revenue from fixed fees and transaction commissions, prices and expected volume; and costs: the initial investment and operating expenses. **Does that sound good?**

INTERVIEWER · KEY FACTORS

"Before you size the market: what determines whether someone in Lebanon would use crypto?"

CANDIDATE

Whether someone uses crypto depends on their age, income, risk appetite, tech literacy, ability to trade, and knowledge of crypto. **I'd segment by age first, then by income**, since those are the easiest to estimate.

INTERVIEWER · HOW MANY USERS?

"Let's size it. How many people could use the coin?"

Exhibit 1. Lebanon: ~**6 million** people, spread evenly from age 0 to 80

Age group	0–20	21–40	41–60	61–80
Share into crypto	10%	25%	5%	0%

CANDIDATE

Six million people in four age groups is 1.5 million each. 10% of the youngest is 150,000; 25% of 21 to 40 is 375,000; 5% of 41 to 60 is 75,000; and none over 60. **That's 600,000 crypto users.** Bitcoin has 60%, so the untapped 40% is about **240,000 people. That's our maximum available market.**

INTERVIEWER · TRANSACTIONS

"How many transactions per week would those users make?"

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Income level	Share	Transactions per week
High	10%	7
Medium	50%	3
Low	40%	1

CANDIDATE

High income: 24,000 people at 7 a week, 168,000. Middle: 120,000 at 3, 360,000. Low: 96,000 at 1, 96,000. **About 624,000 transactions a week.**

INTERVIEWER · PROFIT

"Here's how the coin charges. What's the expected profit per week?"

Exhibit 3. Fees

- A fixed added charge of **$0.50** on all transactions
- Plus a commission by transaction size:

Transaction size	Commission	Share of transaction volume
$0–10k	$0.60	50%
$10k–100k	$0.40	40%
> $100k	$0.20	10%

Profit margin: **10%**.

CANDIDATE

The fixed charge is 50 cents times 624,000, **$312,000**. The average commission is half at 60 cents, 40% at 40 cents and 10% at 20 cents, so **48 cents**, about **$300,000**. Revenue is about $612,000 a week, and at a 10% margin, **profit is about $61,000 a week**.

INTERVIEWER · WHY ONLY 10%?

"Why do you think the profit margin is only 10% and not more?"

CANDIDATE

The real question is why costs are so high. First, a heavy **initial investment**: licenses and approvals, a site for the equipment, servers, and cooling for machines that run constantly. Second, the **cost of validating transactions** on the blockchain. Third, a high **customer acquisition cost** to win users away from Bitcoin.

INTERVIEWER · PAYBACK

"The client's initial investment is $5 million and they want it back within three years. Do they get there?"

CANDIDATE

$61,000 a week times 52 is about **$3.2 million a year**. $5 million divided by $3.2 million is **about 1.6 years: well within their three-year goal**, if we win those users.

INTERVIEWER · STRESS TEST

"That assumes we win all 240,000 users. How many users do we actually need to hit the three-year goal?"

CANDIDATE

That's the key risk. Profit per user is about $13 a year. To recover $5 million in three years we need about $1.7 million a year, so **about 126,000 users, more than half the market Bitcoin doesn't hold**. And any new competitor would shrink that 40%.

INTERVIEWER · RECOMMENDATION

"So, is this a good idea?"

CANDIDATE

It looks like a profitable idea, so I'd recommend launching, carefully. At full potential it makes about $61,000 a week and pays back the $5 million in under two years. **But** any new competitor would shrink the 40% we assumed, and we need about 126,000 users to hit the three-year goal. **Next steps:** pilot to test adoption, work on costs to lift the 10% margin, and engage the central bank on the rules.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 10 OF 10

Hair Loss Pill

Profitability | Medium | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A company invented a single pill that cures hair loss and wants to sell it in Lebanon. The candidate chooses a pricing strategy, sizes how many people want and can afford the pill, estimates first-year revenue, then judges whether it's profitable.

THE ANSWER IN ONE LINE, DON'T SHOW

Price at **1.5–2× a transplant: $7,500–10,000** (value + competitor based). ~**1M** interested (mostly men) → **220k** can afford it → 20% early adopters → **$330M** in year one. Not necessarily profitable: high R&D and a possibly overestimated price. Added: with costs, year-one profit ~$286M.

1 Read the prompt

2–3 min

SAY

"Our client created a pill that reverses hair loss, and they want to sell it in Lebanon."

"They have hired you to estimate the revenues of the first year."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How many pills does someone need?	"Only one pill is needed to cure a person suffering from hair loss."
Any competitors?	"No direct competitors. However, indirect competitors offering hair treatment and transplants can be a threat when it comes to pricing."
What do alternatives cost?	"The average cost of a hair transplant is $5,000."
What did development cost? ADDED	"We'll come back to that."
Can they make enough pills? ADDED	"Yes, capacity isn't a constraint."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks how many pills are needed (just one)
- [ ] Asks about alternatives and their price ($5,000 transplant)

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> So, to recap: our client has created a pill that reverses hair loss and wants to sell it in Lebanon. The goal is to estimate first-year revenue. Questions: how many pills does a patient need? Are there competitors? And what do the alternatives cost?

2 Framework

2 min

SAY

"How would you structure this?"

HOW TO STEER

- Casebook: Revenue = Price × Volume. The candidate should target 2 buckets: price and volume.
- After they present it, say: "There are no competitors selling the same product."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue = Price × Volume
- [ ] Price: price per pill, number of pills for full treatment, pricing strategy
- [ ] Volume: market size in Lebanon, market share

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] Price per pill
- [ ] Number of pills needed for full treatment
- [ ] Pricing strategy: cost-based
- [ ] Pricing strategy: value-based
- [ ] Pricing strategy: competitor-based
- [ ] Volume: market size in Lebanon
- [ ] Volume: market share (if any competitors)

ASK IF THEIR ANSWER IS THIN

- "How would you decide the price?"
- "How many people might buy it?"

ANSWER KEY, DON'T SHOW

Price (price per pill, pills per treatment, pricing strategy: cost-, value- or competitor-based) / **Volume** (market size in Lebanon, market share).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Revenue = price × volume
2. Price sub-bullets incl. 3 pricing strategies
3. Volume sub-bullets
4. Check in

Phrases to listen for: "Revenue is price times volume, so I'd structure it in those two buckets."

EXAMPLE ANSWER, SAID OUT LOUD

> **Revenue is price times volume, so I'd structure it in those two buckets.** **Price**: the price per pill, how many pills a full treatment needs, and the pricing strategy: cost-based, value-based or competitor-based. **Volume**: the market size in Lebanon and the share we could win. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs

- Who has hair loss: men vs. women, by age
- Who can afford it: income
- Adoption speed

Competitive landscape

- Transplants ($5,000) and treatments
- No direct substitute

Financial considerations

- Price: value vs. competitor based
- R&D, manufacturing, marketing costs

The casebook's Price / Volume is a revenue formula. With the book's buckets, the customer segments (gender, income, early adopters) become the backbone, and they drive the whole case.

3 Pricing strategy

2–3 min

SAY

"Which pricing strategy would you use, and why?"

HOW TO STEER

- Casebook: the candidate should realize the pill has a lot of value (one pill, a lifetime cure), so pricing should be a mix of value-based and competitor-based. Indirect competitors (treatments and transplants) are a threat on price.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Value-based: one pill, lifetime cure → high value
- [ ] Competitor-based: anchor on the $5,000 transplant
- [ ] Explains why cost-based is weak here (cost is tiny vs. value)

IF THEY SAY… YOU SAY

"Cost-based: cost plus a margin"	"The pill costs very little to make. Would that capture what it's worth to patients?"

ANSWER KEY, DON'T SHOW

A mix of **value-based** (lifetime cure from one pill) and **competitor-based** (the $5,000 transplant sets the reference).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Choose the strategy
2. Value argument
3. Competitor anchor
4. Why not cost-based

Phrases to listen for: "I'd combine value-based and competitor-based pricing."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd combine value-based and competitor-based pricing. Value: one pill cures hair loss for life, which is worth a lot to patients. Competitors: transplants at $5,000 are the reference customers will compare against. Cost-based pricing wouldn't capture that value, since the pill is cheap to make.

4 Price

2 min

SAY

"So what price would you charge?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 1.5–2× the transplant price
- [ ] $7,500–10,000

ANSWER KEY, DON'T SHOW

Casebook: anywhere from **1.5 to 2 times** the transplant price, so **$7,500 to $10,000**. Then say: "Let's use $7,500."

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What do people pay today to fix hair loss?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Range with the multiple
2. Where in the range and why

Phrases to listen for: "I'd price it at 1.5 to 2 times a transplant."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd price it at 1.5 to 2 times a transplant, so $7,500 to $10,000, starting toward the lower end because incomes in Lebanon limit what most people can pay.

5 Who wants it

4 min

SAY

"Let's use $7,500. How many people in Lebanon would be interested in the pill?"

HOW TO STEER

- Casebook: the candidate should consider that interested people are mostly men, since they suffer more from hair loss, but some women might be interested too and should be counted.

GIVE ONLY WHEN: WHEN THEY ASK ABOUT POPULATION OR WHO HAS HAIR LOSS.

Exhibit 1. Interest by age and gender

Age	Men	% interested	Women	% interested
0–20	0.75M	0%	0.75M	0%
21–40	0.75M	20%	0.75M	0%
41–60	0.75M	50%	0.75M	5%
61–80	0.75M	40%	0.75M	20%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Mostly men, but includes women
- [ ] Men: 150k + 375k + 300k = 825k
- [ ] Women: 37.5k + 150k = 187.5k
- [ ] Total ≈ 1.01M → round to 1M

IF THEY SAY... YOU SAY

Counts only men	"Could any women be interested?"

ANSWER KEY, DON'T SHOW

```
Men: 150k + 375k + 300k = 825k
Women: 37.5k + 150k = 187.5k
Market size ≈ 1.0125M → ~1M
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Mostly men, some women
2. Men by age
3. Women by age
4. Total, rounded

Phrases to listen for: "It's mostly men, but some women too."

EXAMPLE ANSWER, SAID OUT LOUD

> **It's mostly men, but some women too.** Men: 150,000 aged 21 to 40, 375,000 aged 41 to 60, and 300,000 aged 61 to 80, so 825,000. Women: 37,500 aged 41 to 60 and 150,000 aged 61 to 80, so 187,500. **About 1 million people are interested.**

6 Who can afford it

3 min

SAY

"Can all of them afford it?"

HOW TO STEER

- Casebook: an income segmentation approach should be used; the pill is rarely affordable for lower-income people.

GIVE ONLY WHEN: WHEN THEY RAISE INCOME.

Exhibit 2. Affordability by income

Income level	Share of population	Share that can afford the pill
High	10%	100%
Medium	40%	30%
Low	50%	0%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Brings up income segmentation
- [ ] High: 100k; Medium: 400k × 30% = 120k; Low: 0
- [ ] Total 220k

ANSWER KEY, DON'T SHOW

`1M → 100k high (100%) + 400k medium (30% = 120k) + 500k low (0%) = 220k`

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Is $7,500 affordable for everyone in Lebanon?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Segment by income
2. Each segment
3. Total

Phrases to listen for: "I'd segment by income."

EXAMPLE ANSWER, SAID OUT LOUD

> **No, I'd segment by income.** High income: 100,000, all able to pay. Middle: 400,000 times 30%, 120,000. Low: none. **So 220,000 people can afford it.**

7 Year-one revenue

3 min

SAY

"Will all 220,000 buy the pill in the first year? What's year-one revenue?"

HOW TO STEER

- Casebook: the candidate should realize only early adopters and innovators buy in year one. Assume they're 20% of the people interested.

GIVE ONLY WHEN: ONCE THEY SAY NOT EVERYONE BUYS RIGHT AWAY.

Assume early adopters and innovators, **20%**, buy in year one.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Only early adopters buy in year one
- [ ] 220k × 20% × $7,500 = $330M

ANSWER KEY, DON'T SHOW

`220k × 0.2 × $7,500 = $330M`

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Does everyone buy a new product in its first year?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Adoption isn't instant
2. Early adopter share
3. Buyers × price

Phrases to listen for: "Only early adopters buy a new product right away."

EXAMPLE ANSWER, SAID OUT LOUD

> **Not all in year one**: only early adopters and innovators buy a new product right away. At 20%, that's **44,000 buyers times $7,500, about $330 million in year one.**

8 Is it profitable?

3 min

SAY

"Is this a profitable idea?"

HOW TO STEER

- Casebook: the candidate should quickly realize the $330M doesn't necessarily reflect profitability, for 2 main reasons.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue isn't profit
- [ ] R&D to develop the pill is likely very high: breakeven may take years
- [ ] Some assumptions may be overestimated, like the price: maybe not 1.5–2× a transplant if results are similar

FULL LIST FROM THE AUBCC CASEBOOK: TICK WHAT THEY COVERED

- [ ] High R&D cost: a few years to break even
- [ ] Price may be overestimated: speed and ease may not justify a 50–100% premium

ANSWER KEY, DON'T SHOW

Not necessarily: (1) R&D was likely very high, so breakeven takes years; (2) the price may be too high: the pill's advantage is speed and ease, which may not justify a 50–100% premium over a transplant with similar results.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Revenue isn't profit
2. Reason 1: R&D
3. Reason 2: the price may be overestimated

Phrases to listen for: "Not necessarily: revenue isn't profit."

EXAMPLE ANSWER, SAID OUT LOUD

> **Not necessarily: revenue isn't profit.** First, **R&D for a drug like this is very high**, so it may take a few years to break even. Second, **the price may be overestimated**: if results are similar to a transplant, speed and ease may not justify a 50 to 100% premium.

9 Year-one profit ADDED

3 min

Beyond the AUBCC casebook: R&D, manufacturing and marketing figures are new.

SAY

"Let's put numbers on it. Here are the costs. What's year-one profit, and how much of the R&D does it recover?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 3. Costs

- R&D already spent: **$400M**
- Manufacturing: **$100** per pill
- Marketing and distribution: **$40M** a year

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Manufacturing: 44k × $100 = $4.4M
- [ ] Profit ≈ 330 − 4.4 − 40 = $285.6M
- [ ] Recovers ~70% of R&D in year one
- [ ] Notes one pill per person: the Lebanese market shrinks after early adopters

ANSWER KEY, DON'T SHOW

```
330 − 4.4 − 40 = $285.6M (≈ 71% of the $400M R&D)
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Costs line by line
2. Profit
3. Share of R&D recovered

4. The catch: one-time purchase

Phrases to listen for: "But each person buys only once."

EXAMPLE ANSWER, SAID OUT LOUD

> Manufacturing is 44,000 times $100, $4.4 million, plus $40 million of marketing, so **year-one profit is about $286 million, recovering about 70% of the R&D**. **But each person buys only once**, so the Lebanese market shrinks after early adopters.

10 Recommendation ADDED

1–2 min

SAY

"What do you tell the CEO?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: ~$330M year-one revenue at ~$7,500; ~$286M profit
- [ ] Caveats: R&D, price premium may not hold, one-time purchase
- [ ] Next steps: test price sensitivity, plan other countries, financing for middle-income buyers

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: launch at the price
2. Revenue and profit
3. Risks
4. Next steps

Phrases to listen for: "I recommend launching at around $7,500."

EXAMPLE ANSWER, SAID OUT LOUD

> **I recommend launching at around $7,500.** First-year revenue is about $330 million and profit about $286 million, so the R&D is recovered within about two years. **The main risks** are that the premium over a transplant may not hold, and that a one-time purchase means the market dries up. **Next steps:** test price sensitivity, plan other countries, and consider financing for middle-income buyers.

▼ Show the full sample interview

INTERVIEWER

"Our client created a pill that reverses hair loss, and they want to sell it in Lebanon."

"They have hired you to estimate the revenues of the first year."

> CANDIDATE

So, to recap: our client has created a pill that reverses hair loss and wants to sell it in Lebanon. **The goal is to estimate first-year revenue.** Questions: how many pills does a patient need? Are there competitors? And what do the alternatives cost?

INTERVIEWER · FRAMEWORK

"How would you structure this?"

CANDIDATE

Revenue is price times volume, so I'd structure it in those two buckets. **Price**: the price per pill, how many pills a full treatment needs, and the pricing strategy: cost-based, value-based or competitor-based. **Volume**: the market size in Lebanon and the share we could win. **Does that sound good?**

INTERVIEWER · PRICING STRATEGY

"Which pricing strategy would you use, and why?"

CANDIDATE

I'd combine value-based and competitor-based pricing. **Value**: one pill cures hair loss for life, which is worth a lot to patients. **Competitors**: transplants at $5,000 are the reference customers will compare against. **Cost-based pricing wouldn't capture that value**, since the pill is cheap to make.

INTERVIEWER · PRICE

"So what price would you charge?"

CANDIDATE

I'd price it at 1.5 to 2 times a transplant, so **$7,500 to $10,000**, starting toward the lower end because incomes in Lebanon limit what most people can pay.

INTERVIEWER · WHO WANTS IT

"Let's use $7,500. How many people in Lebanon would be interested in the pill?"

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INTERVIEWER · WHO CAN AFFORD IT

"Can all of them afford it?"

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CANDIDATE

No, I'd segment by income. High income: 100,000, all able to pay. Middle: 400,000 times 30%, 120,000. Low: none. **So 220,000 people can afford it.**

INTERVIEWER · YEAR-ONE REVENUE

"Will all 220,000 buy the pill in the first year? What's year-one revenue?"

Assume early adopters and innovators, **20%**, buy in year one.

CANDIDATE

Not all in year one: only early adopters and innovators buy a new product right away. At 20%, that's **44,000 buyers times $7,500, about $330 million in year one.**

INTERVIEWER · IS IT PROFITABLE?

"Is this a profitable idea?"

CANDIDATE

Not necessarily: revenue isn't profit. First, **R&D for a drug like this is very high**, so it may take a few years to break even. Second, **the price may be overestimated**: if results are similar to a transplant, speed and ease may not justify a 50 to 100% premium.

INTERVIEWER · YEAR-ONE PROFIT

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CANDIDATE

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INTERVIEWER · RECOMMENDATION

"What do you tell the CEO?"

CANDIDATE

I recommend launching at around $7,500. First-year revenue is about $330 million and profit about $286 million, so the R&D is recovered within about two years. **The main risks** are that the premium over a transplant may not hold, and that a one-time purchase means the market dries up. **Next steps:** test price sensitivity, plan other countries, and consider financing for middle-income buyers.

Score this case

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Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

OPTIONAL WARM-UP, 5–10 MINUTES

Fit questions

Real interviews often start with 2–3 personal questions before the case. Ask one or two. Good answers last 1–2 minutes and tell a story.

Ask	A good answer...
"Tell me about yourself."	A 1–2 minute story, not a CV list: studies, 1–2 experiences, why consulting, one personal detail that makes them memorable.
"Why consulting?"	Specific reasons tied to their own experience (problem-solving, variety, learning). Shows they know what the job really is.
"Why our firm?"	Names something specific: people they've met, a program, values. Not just "prestige".
"Give me an example of leadership."	A real situation, what THEY did and why, the result, and what they learned. Admits a shortcoming.
"What are your three biggest weaknesses?"	Real weaknesses, not humble-brags, each with what they're doing to improve.
"Tell me about a time you challenged yourself."	A clear challenge, the steps they took, the outcome.
"Why should we give you an offer?"	2–3 confident reasons linked to what consultants actually do.
"Why aren't you working in the field of your major?"	A positive story about moving toward consulting, not running away from their major.

Red flags in fit answers

- Over 2 minutes long
- Sounds memorized word for word
- Lists facts from the CV with no story
- Can't say why consulting specifically